# Develop and manage business strategies

## D2.TRM.CL9.03

## Trainee Manual




Specialist centre for foods, tourism & hospitality

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## Trainee Manual

Australian Aid

asean

William Angliss Institute | Specialist centre for foods, tourism & hospitality

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The Association of Southeast Asian Nations (ASEAN) was established on 8 August 1967. The Member States of the Association are Brunei Darussalam, Cambodia, Indonesia, Lao PDR, Malaysia, Myanmar, Philippines, Singapore, Thailand and Viet Nam.

The ASEAN Secretariat is based in Jakarta, Indonesia.

General Information on ASEAN appears online at the ASEAN Website: www.asean.org.


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# Table of contents

# Introduction to trainee manual

## To the Trainee

Congratulations on joining this course. This Trainee Manual is one part of a ‘toolbox’ which is a resource provided to trainees, trainers and assessors to help you become competent in various areas of your work.

The ‘toolbox’ consists of three elements:

- A Trainee Manual for you to read and study at home or in class
- A Trainer Guide with Power Point slides to help your Trainer explain the content of the training material and provide class activities to help with practice
- An Assessment Manual which provides your Assessor with oral and written questions and other assessment tasks to establish whether or not you have achieved competency.

The first thing you may notice is that this training program and the information you find in the Trainee Manual seems different to the textbooks you have used previously. This is because the method of instruction and examination is different. The method used is called Competency based training (CBT) and Competency based assessment (CBA). CBT and CBA is the training and assessment system chosen by ASEAN (Association of South-East Asian Nations) to train people to work in the tourism and hospitality industry throughout all the ASEAN member states.

What is the CBT and CBA system and why has it been adopted by ASEAN?

CBT is a way of training that concentrates on what a worker can do or is required to do at work. The aim is of the training is to enable trainees to perform tasks and duties at a standard expected by employers. CBT seeks to develop the skills, knowledge and attitudes (or recognise the ones the trainee already possesses) to achieve the required competency standard. ASEAN has adopted the CBT/CBA training system as it is able to produce the type of worker that industry is looking for and this therefore increases trainees’ chances of obtaining employment.

CBA involves collecting evidence and making a judgement of the extent to which a worker can perform his/her duties at the required competency standard. Where a trainee can already demonstrate a degree of competency, either due to prior training or work experience, a process of ‘Recognition of Prior Learning’ (RPL) is available to trainees to recognise this. Please speak to your trainer about RPL if you think this applies to you.

What is a competency standard?

Competency standards are descriptions of the skills and knowledge required to perform a task or activity at the level of a required standard.

242 competency standards for the tourism and hospitality industries throughout the ASEAN region have been developed to cover all the knowledge, skills and attitudes required to work in the following occupational areas:

- Housekeeping
- Food Production
- Food and Beverage Service
- Front Office

- Travel Agencies
- Tour Operations.

All of these competency standards are available for you to look at. In fact you will find a summary of each one at the beginning of each Trainee Manual under the heading 'Unit Descriptor'. The unit descriptor describes the content of the unit you will be studying in the Trainee Manual and provides a table of contents which are divided up into 'Elements' and 'Performance Criteria". An element is a description of one aspect of what has to be achieved in the workplace. The 'Performance Criteria' below each element details the level of performance that needs to be demonstrated to be declared competent.

There are other components of the competency standard:

- *Unit Title:* statement about what is to be done in the workplace
- *Unit Number:* unique number identifying the particular competency
- *Nominal hours:* number of classroom or practical hours usually needed to complete the competency. We call them 'nominal' hours because they can vary e.g. sometimes it will take an individual less time to complete a unit of competency because he/she has prior knowledge or work experience in that area.

The final heading you will see before you start reading the Trainee Manual is the 'Assessment Matrix'. Competency based assessment requires trainees to be assessed in at least 2 – 3 different ways, one of which must be practical. This section outlines three ways assessment can be carried out and includes work projects, written questions and oral questions. The matrix is designed to show you which performance criteria will be assessed and how they will be assessed. Your trainer and/or assessor may also use other assessment methods including 'Observation Checklist' and 'Third Party Statement'. An observation checklist is a way of recording how you perform at work and a third party statement is a statement by a supervisor or employer about the degree of competence they believe you have achieved. This can be based on observing your workplace performance, inspecting your work or gaining feedback from fellow workers.

Your trainer and/or assessor may use other methods to assess you such as:

- Journals
- Oral presentations
- Role plays
- Log books
- Group projects
- Practical demonstrations.

Remember your trainer is there to help you succeed and become competent. Please feel free to ask him or her for more explanation of what you have just read and of what is expected from you and best wishes for your future studies and future career in tourism and hospitality.

# Unit descriptor

**Develop and manage business strategies**

This unit deals with the skills and knowledge required to Develop and manage business strategies in a range of settings within the travel industries workplace context.

**Unit Code:**

D2.TRM.CL9.03

**Nominal Hours:**

70

## Element 1: Identify the internal business environment

**Performance Criteria**

1.1 Identify and confirm core features of the business

1.2 Identify marketing information relevant to the current situation

1.3 Review business performance information

1.4 Identify capabilities and resources of the business

1.5 Identify underperforming products and services

## Element 2: Identify the external business environment

**Performance Criteria**

2.1 Identify expected market share

2.2 Identify external factors impacting on the business

2.3 Analyse comparative market information

2.4 Analyse industry and customer trends

2.5 Analyse the legal and ethical issues in the market place

## Element 3: Define and implement business strategies

**Performance Criteria**

3.1 Formulate business objectives for individual business units

3.2 Review existing business strategies

3.3 Develop business strategies relating to established strategic objectives for the organisation

3.4 Communicate business strategies to relevant stakeholders

## Element 4: Review the effectiveness of business strategies

**Performance Criteria**

4.1 Review established strategies

4.2 Include multiple perspectives and information sources in determining the effectiveness of strategies

4.3 Evaluate the effectiveness of the strategies

4.4 Make recommendations for enhancements to strategies and plans

## Element 5: Manage risk associated with business strategies

**Performance Criteria**

5.1 Identify risks associated with implementation of strategic plans

5.2 Access information sources in relation to identified risk

5.3 Assess risk levels

5.4 Develop written operational risk management policy

5.5 Develop written operational risk management plans

5.6 Develop written operational contingency plans

5.7 Communicate risk management strategies to stakeholders

5.8 Review and monitor risk management plans and procedures

5.9 Access information sources in relation to identified risk

# Assessment matrix

**Showing mapping of Performance Criteria against Work Projects, Written Questions and Oral Questions**

The Assessment Matrix indicates three of the most common assessment activities your Assessor may use to assess your understanding of the content of this manual and your performance - Work Projects, Written Questions and Oral Questions. It also indicates where you can find the subject content related to these assessment activities in the Trainee Manual (i.e. under which element or performance criteria). As explained in the Introduction, however, the assessors are free to choose which assessment activities are most suitable to best capture evidence of competency as they deem appropriate for individual students.

| | | Work Projects | Written Questions | Oral Questions |
|---|---|---|---|---|
| **Element 1: Identify the internal business environment** | | | | |
| 1.1 | Identify and confirm core features of the business | 1.1 | 1,2 | 1 |
| 1.2 | Identify marketing information relevant to the current situation | 1.2 | 3,4 | 2 |
| 1.3 | Review business performance information | 1.3 | 5,6 | 3 |
| 1.4 | Identify capabilities and resources of the business | 1.4 | 7,8 | 4 |
| 1.5 | Identify underperforming products and services | 1.5 | 9 | 5 |
| **Element 2: Identify the external business environment** | | | | |
| 2.1 | Identify expected market share | 2.1 | 10 | 6 |
| 2.2 | Identify external factors impacting on the business | 2.2 | 11 | 7 |
| 2.3 | Analyse comparative market information | 2.3 | 12 | 8 |
| 2.4 | Analyse industry and customer trends | 2.4 | 13 | 9 |
| 2.5 | Analyse the legal and ethical issues in the market place | 2.5 | 14 | 10 |

| | | Work Projects | Written Questions | Oral Questions |
|---|---|---|---|---|
| **Element 3: Define and implement business strategies** | | | | |
| 3.1 | Formulate business objectives for individual business units | 3.1 | 15 | 11 |
| 3.2 | Review existing business strategies | 3.2 | 16 | 12 |
| 3.3 | Develop business strategies relating to established strategic objectives for the organisation | 3.3 | 17 | 13 |
| 3.4 | Communicate business strategies to relevant stakeholders | 3.4 | 18 | 14 |
| **Element 4: Review the effectiveness of business strategies** | | | | |
| 4.1 | Review established strategies | 4.1 | 19 | 15 |
| 4.2 | Include multiple perspectives and information sources in determining the effectiveness of strategies | 4.2 | 20 | 16 |
| 4.3 | Evaluate the effectiveness of the strategies | 4.3 | 21 | 17 |
| 4.4 | Make recommendations for enhancements to strategies and plans | 4.4 | 22 | 18 |
| **Element 5: Manage risk associated with business strategies** | | | | |
| 5.1 | Identify risks associated with implementation of strategic plans | 5.1 | 23 | 19 |
| 5.2 | Access information sources in relation to identified risk | 5.2 | 24 | 20 |
| 5.3 | Assess risk levels | 5.3 | 25 | 21 |
| 5.4 | Develop written operational risk management policy | 5.4 | 26 | 22 |
| 5.5 | Develop written operational risk management plans | 5.5 | 27 | 23 |
| 5.6 | Develop written operational contingency plans | 5.6 | 28 | 24 |
| 5.7 | Communicate risk management strategies to stakeholders | 5.7 | 29 | 25 |
| 5.8 | Review and monitor risk management plans and procedures | 5.8 | 30 | 26 |

# Glossary

| Term | Explanation |
|---|---|
| **Alliance** | Strategic partnership |
| **Benchmarking** | Any standard or reference by which others can be measured or judged |
| **Business plan** | Written document that presents detailed information about the business, its projected plans and projections for the future |
| **Compliance requirements** | Legally imposed requirements where staff are required to hold nominated certificates, qualifications or licences in order to be able to work in certain jobs/areas of a business |
| **Contingency Plan** | Plan B to be used |
| **CSI** | Customer Satisfaction Index |
| **Current** | To be used within a financial year |
| **Distribution** | How your products or services are sold to end users |
| **E-business** | Electronic based business |
| **External customers** | People who come into the business and pay for the products and services the business provides. Contrasted against 'internal customers' |
| **External environment** | Focus on forces outside the business |
| **Feasibility** | A determination of the initial viability of the core business concept |
| **Fiscal** | Financial matters |
| **Hard data** | Statistical information |
| **Inflation** | Positive economic activity |
| **Intangible** | Incapable of being perceived by the sense of touch, but still has value |
| **Intellectual property** | Property that results from original creative thought, as patents, copyright material, and trademarks. |

| Term | Explanation |
|---|---|
| **Internal customers** | People within the business (staff, colleagues, co-workers, supervisors, management) who are the end-users/consumers of products or service produced by other staff. Making the point every staff members services someone even though that may not be a paying customer.<br>Contrasted to ‘external customers’. |
| **Internal environment** | Focus on forces inside the business |
| **KPI** | Key Performance Indicator |
| **Mission Statement** | Purpose of your business |
| **OSH** | Occupational safety and health |
| **QA** | Quality Assurance |
| **RM** | Risk Management |
| **Risk** | Any hazard or source of danger with the potential to adversely impact on the operation and/or outcomes of the organisation |
| **Risk management** | A logical and systematic process of identifying, analysing, evaluating, treating and monitoring risks related to any strategy plan, process, program or procedures that will enable the organisation to minimise losses and maximise opportunities, leading to a continual reduction in potential and actual adverse impacts on the operations of the organisation |
| **Risk matrix** | A chart/table identifying the intersection of ‘likelihood’ and ‘consequence’ for a given risk to determine rating/severity of risk |
| **Situation analysis** | Another term for a SWOT Analysis |
| **Soft data** | Anecdotal information; information other than statistical information/ data |
| **SOP** | Standard Operating Procedure |
| **Stakeholder** | A person who has a vested interest in an organisation |
| **Strategic analysis** | Another term for a SWOT Analysis |
| **SWOT** | Strengths, weaknesses, opportunities, threats |

| Term | Explanation |
| --- | --- |
| **SWOT Analysis** | An analysis of a business considering its Strengths and Weaknesses, and the Opportunities and Threats facing it. Also known as a Situation Analysis |
| **USP** | Unique Selling Points |
| **Value Proposition** | Identification of how an organisation provides value to a customer |
| **Vision** | Goal or aspiration |

# Element 1: Identify the internal business environment

## 1.1 Identify and confirm core features of the business

### Introduction

Used in most travel and tourism organisations, a business strategy commonly is a document that clearly articulates the direction a business will pursue in the future and the steps it will take to achieve its objectives.

Business strategies normally are derived from a business plan.

### Business plans and strategies

A business plan is a written document that presents detailed information about the business, its projected plans and projections for the future. The plan is based on an analysis of the business' current situation (if already existing), and forecasts of future trends within the relevant industry and economy.

Establishing business strategies is a planning process. It is also a control process, in that it sets guidelines and targets for all aspects of the business. It sets standards to be achieved by all business activities, and includes measurement processes against set targets and corrective mechanisms across the whole organisation.

By developing business strategies an organisation is taking a pro-active step, forcing them to think clearly about where the business is going and how you are going to get there.

It includes results from research into all aspects of the business operation and is a logical and structured document, with each section of the plan consistent with and linking to each other.

In a business plan, the business strategy is created from objectives established to support the stated mission of the business.

The typical objectives for a travel and tourism organisation will be detailed in Section 3.1 of this document.

It has been proven that those business' who have a written business plan with strategies for its operation, have a greater chance of success in today's fast moving and changing environment.

Preparation of comprehensive business strategies gives a sense of ownership and involvement in the future of the business, and ensures that the commercial directions planned have been tested for their viability in the marketplace.

## Business strategy steps

A typical business strategy is developed in four steps:

- Analysis
- Development
- Implementation
- Review.

**Analysis**

The goal of strategic analysis is to identify what a business wants to accomplish, the strengths it can bring to bear on accomplishing the goal and weaknesses that need to be addressed prior to integration and implementation.

In this step of business strategy development, detailed research and evaluation, using various methods, are used to identify and analyse the internal influences on an organisation’s market, resources, obstacles to success and specific advantages.

It also explores the external influences on an organisation and the impacts it will have in the future direction of the organisation.

**Development**

Developing a business strategy usually is one of many steps in a larger business planning process. A business plan begins with an overall vision. From the vision, a mission statement for the business is constructed, usually the shorter and more precise the better.

A mission leads to specific objectives the business will achieve to accomplish its mission and that in turn leads to strategy to achieve these objectives.

Specific tactics are usually then developed to support the business strategy.

This process will normally involve stakeholders as they will be persons responsible for the implementation of these strategies.

**Implementation**

Once strategies have been identified they must be communicated to all stakeholders so they are clear as to the responsibilities and role they play in the implementation of strategies.

Strategies for implementation must also be carefully mapped out with potential obstacles and contingencies identified.

**Review**

Once business strategies have been introduced it is important to monitor the success of its implementation and to make adjustments where required.

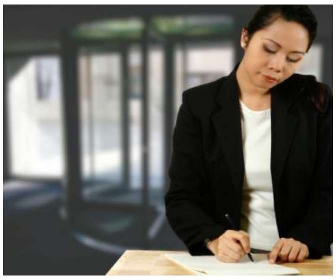
## Understand vision, values and mission of the business

Whilst business strategies are essential, they are only one step in a series of steps leading to the achievement of organisational goals.

They must reflect and align with other plans of an organisation.

These include the following:

**Vision**



An organisation's vision may include:

- Core ideology which defines what the organisation stands for and why the organisation exists
- Envisioned future which defines what the organisation aspires to become
- Service vision.

**Values**

An organisation's values describe the core principles that guide an organisation's work. An organisation's values may include:

- Teamwork
- Commitment
- Ownership
- Recognition
- Service excellence
- Personal development.

**Mission statement**

This is a written statement expressing an organisation's purpose. It identifies the business, its aspirations and its desired culture.

**Corporate goals**

These are goals set by the board of directors or the shareholders. They are an organisation's blueprint stating its' main objectives for the future. These goals are stated in general terms and then strategically planned through the organisation's hierarchy.

**Strategic plans**

These plans determine the future direction of an organisation. They are formal long-term plans designed from the corporate goals and objectives. These plans set the agenda.

## *Activity 1 - Identify vision, values and mission of your organisation*

PLEASE NOTE THAT THE TRAVEL OR TOURISM ORGANISATION YOU SELECT FOR THIS ACTIVITY WILL BE USED FOR ALL ACTIVITIES IN THIS MANUAL.

You are to open your own travel or tourism company in your home town.

You are required to identify the following for your company:

VISION

VALUES (Identify 4 values)

1.
2.
3.
4.

MISSION STATEMENT

## Identify general core activities

Each organisation will have different core activities that they must undertake as part of their business operations.

That said, most travel and tourism core activities include, but are not limited to:

**Getting Information**

- Observing, receiving, and otherwise obtaining information from all relevant sources.
- Read travel rate schedule
- Receive customer orders
- Obtain travel information for clients.

**Selling or influencing others**

- Convincing others to buy merchandise/goods or to otherwise change their minds or actions
- Sell products or services
- Sell itinerary tour packages.

**Interacting with computers**

- Using computers and computer systems - including hardware and software) to program, write software, set up functions, enter data, or process in formation
- Use computers to enter, access or retrieve data.

**Communicating with persons outside organisation**

- Communicating with people outside the organisation, representing the organisation to customers, the public, government, and other external sources. This information can be exchanged in person, in writing, or by telephone or e-mail
- Make presentations.

**Updating and using relevant knowledge**

- Keeping up-to-date technically and applying new knowledge to your job
- Use knowledge of international travel regulations
- Use interpersonal communication techniques
- Use local or regional geographical knowledge to transportation
- Use sales techniques
- Use knowledge of written communication in sales work
- Use telephone communication techniques.

**Establishing and maintaining interpersonal relationships**

- Developing constructive and cooperative working relationships with others, and maintaining them over time.

**Organising, planning, and prioritising work**

- Developing specific goals and plans to prioritise, organise, and accomplish your work.

**Communicating with supervisors, peers, or subordinates**

- Providing information to supervisors, co-workers, and subordinates by telephone, in written form, e-mail, or in person.

**Documenting information**

- Entering, transcribing, recording, storing, or maintaining information in written or electronic/magnetic form.

**Making decisions and solving problems**

- Analysing information and evaluating results to choose the best solution and solve problems.

**Interpreting others**

- Translating or explaining what information means and how it can be used
- Inform clients of travel restrictions.

**Resolving conflicts and negotiating with others**

- Handling complaints, settling disputes, and resolving grievances and conflicts, or otherwise negotiating with others.

**Performing administrative activities**

- Performing day-to-day administrative tasks such as maintaining information files and processing paperwork
- Maintain records, reports, or files
- Fill out business or government forms.

**Judging the qualities of things, services or people**

- Assessing the value, importance, or quality of things or people.

**Processing information**

- Compiling, coding, categorising, calculating, tabulating, auditing or verifying information or data
- Compute financial data.

**Thinking creatively**

- Developing, designing, or creating new applications, ideas, relationships, systems, or products, including artistic contributions.

**Analysing data or information**

- Identifying the underlying principles, reasons, or facts of information by breaking down information or data into separate parts.

**Assisting and caring for others**

- Providing personal assistance, medical attention, emotional support, or other personal care to others such as co-workers or customers.

**Coordinating the work activities of others**

- Getting members of a group to work together to accomplish tasks.

**Scheduling work and activities**

- Scheduling events, programs, and activities, as well as the work of others
- Develop travel itinerary
- Make travel reservations.

**Monitoring and controlling resources**

- Monitoring and controlling resources
- Overseeing the spending of money.

**Training and teaching others**

- Identifying the educational needs of others
- Developing formal educational or training programs or classes
- Teaching or instructing others.

**Developing objectives and strategies**

- Establishing long-range objectives
- Specifying the strategies and actions to achieve them.

**Identifying objects, actions and events**

- Identifying information by categorising, estimating, recognising differences or similarities and detecting changes in circumstances or events.

**Estimating the quantifiable characteristics of products, events or information**

- Estimating sizes, distances, and quantities or determining time, costs, resources or materials needed to perform a work activity
- Estimate travel rates or expenses.

**Provide consultation and advice to others**

- Providing guidance and expert advice to management or other groups on technical, systems, or process-related topics
- Provide travel suggestions.

**Developing and building teams**

- Encouraging and building mutual trust, respect, and cooperation among team members.

**Coaching and developing other**

- Identifying the developmental needs of others and coaching, mentoring, or otherwise helping others to improve their knowledge or skills.

**Evaluating information to determine compliance with standards**

- Using relevant information and individual judgment to determine whether events or processes comply with laws, regulations, or standards.

**Monitor processes, materials or surroundings**

- Monitoring and reviewing information from materials, events, or the environment, to detect or assess problems.

**Guiding, directing and motivating subordinates**

- Providing guidance and direction to subordinates, including setting performance standards and monitoring performance.

**Staffing organisational units**

- Recruiting, interviewing, selecting, hiring, and promoting employees in an organisation.

**Handling and moving objects**

- Using hands and arms in handling, installing, positioning, and moving materials, and manipulating things.

## Identify core activities of travel agents

- Collect payment for transportation and accommodations from customer
- Converse with customer to determine destination, mode of transportation, travel dates, financial considerations, and accommodations required
- Compute cost of travel and accommodations, using calculator, computer, carrier tariff books, and hotel rate books, or quote package tour's costs
- Book transportation and hotel reservations, using computer terminal or telephone

- Plan, describe, arrange, and sell itinerary tour packages and promotional travel incentives offered by various travel carriers
- Provide customer with brochures and publications containing travel information, such as local customs, points of interest, or foreign country regulations
- Print or request transportation carrier tickets, using computer printer system or system link to travel carrier.

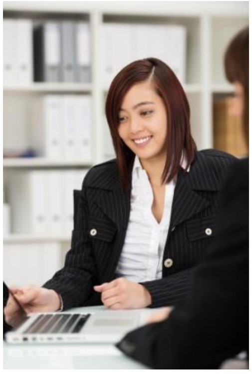
## Identify core activities of tour guides

- Welcoming people
- Briefing customers on practical tour issues
- Give Instructions
- Drive tour vehicles
- Provide commentary
- Liaise with other operators
- Organise accommodation and other tour activities
- Lead the group around tour sites visited
- Ensure the safety of the group
- Ensure the members of the group behave appropriately so as not to disturb host communities or natural/cultural sites visited
- Deal with unexpected changes to the itinerary
- Complete various reports and keep records
- Manage basic touring problems which may arise such as conflict between those on the tour.

In Section 1.4 of this manual, the different resources in providing core business activities including products and services will be identified in more detail.


## *Activity 2 - Identify job description*

You are required to research, download or create a job description for a position that you would incorporate into your organisation, as identified in Activity 1.



## Identify products and services offered

**Products**

A product is anything that can be offered to a market that might satisfy a want or need.

This can include:

- Tourism products and services
- Packages
- Merchandise.

**Services**

A service is any activity or benefit that one party can offer to the other which is essentially intangible and does not result in the ownership of anything.

Its production may or may not be tied to the product.

This can include:


- Booking services
- Foreign exchange services
- Insurance.

**Types of travel and tourism products and services**

Commonly purchased products and services include:


- Tours
- Attractions
- Activities
- Entertainment
- Events
- Accommodation
- Amenities and services
- Airlines
- Car hire
- Cruises
- Transfers
- Rail.

## *Activity 3 - Identify products and services provided*

For your organisation as identified in Activity 1, you are to list the different products and services you would provide for your clients.

| PRODUCTS | |
|---|---|
| | |
| | |
| | |
| | |
| | |
| | |
| **SERVICES** | |
| | |
| | |
| | |
| | |
| | |
| | |

## Identify customers

**Different types of customers**

Customers may be classified as 'existing' and 'potential' customers.

Existing customers are ones you already have.

Potential customers are ones you might try to attract based on

Each venue will have:

- Its own specific target markets – a mix of customers it wishes to attract
- Its own interpretation of how each target market is defined
- Its own name or classification for each of its markets
- Its own reasons for defining the markets in the way they have.

<u>Existing customer information</u>

You may have a description of existing customers based on:

- Terminology or classifications used by the venue
- Appropriate demographic characteristics – age, gender, nationality
- Products and services purchased
- Total spend or average spend
- Frequency of visits
- Method of payment
- Booking information
- Number and value of bookings made.

<u>Potential customer information</u>

You may have a description of existing customers based on:

- The potential exists to develop a growing market share
- The potential exists for the venue to experience a reduction in trade
- The possibility exists for the venue to exit one or more markets or market segments
- Projections for increased revenue and profit at given timelines – business 'volume'
- Cost to enter or exit a market
- Projections for trade in terms of volume of sales
- Anticipated positive and/or negative impact on other operations of the business
- Alignment with business mission and vision
- Fit with strategic and business plans
- Legal issues to be complied with.

## Common customer segments

Following is a list of specific market segments that may be the focus of tourism and travel organisations

**Business**

Business travellers can comprise:

- FIT (Free Independent Travellers) who arrange their own accommodation
- Member of a corporation in which has a special rate with an organisation
- Conference or event guest within a hotel.

**Leisure**

This market is travelling for relaxation purposes and may include:

- FIT (Free Independent Travellers) who arrange their own accommodation
- Tours / coach groups
- Honeymooners
- Families
- Elderly.

**Religious**

This market is travelling to participate in a pilgrimage or religious celebration

**Sporting**

This market is travelling to participate in sporting events, tours or competitions

**Outbound Tourists**

An outbound tourist is where a local tourist goes to a region away from where they reside and where the business is. This normally means the tourist is either leaving the town, city or country.

This type of tourist would be beneficial to travel agents and transport companies.

**Inbound Tourists**

An inbound tourist is where a tourist from another location comes into your region. This normally means the tourist is coming into your area.

This type of tourist would be beneficial to accommodation venues and tourist attractions.

**Domestic Tourists**

A tourist who travels within a country. They are natives and can easily be promoted to.

**International Tourists**

A tourist who travels to/from another country. Conducting promotional activities can be harder as they may come from various counties, speak different languages and have different needs.

# *Activity 4 - Identify needs of different market segments*

You are required to identify the possible needs of the different market segments who would visit your organisation

You are to identify the strategy, products or services you feel could meet these needs.

| MARKET SEGMENT | STRATEGY, PRODUCT OR SERVICE TO MEET NEED |
|---|---|
| **International clients - General** | |
| **Business - General** | |
| **Business - Men** | |
| **Business - Women** | |
| **Leisure - General** | |

| MARKET SEGMENT | STRATEGY, PRODUCT OR SERVICE TO MEET NEED |
|---|---|
| **Leisure - FIT (Free Independent Travellers)** | |
| **Leisure - Large Groups** | |
| **Leisure - Honeymooners** | |
| **Family clients - with children less than 4 years old** | |
| **Family clients - with children aged 4-16** | |
| **Sporting groups** | |
| **Adventure seekers** | |

# 1.2 Identify marketing information relevant to the current situation

## Introduction

Once you have reviewed and understood the core features of the organisation, it is important to review and research other aspects that will affect the future strategic direction of the organisation.

In Sections 1.2-1.5, the focus of the research process is to collect and analyse data based on internal information.

Before we look at the different types of data to collect, it is important to define what data is and the different types of data that can be obtained to help an organisation make informed decisions.

## Primary and secondary data

When collecting information to help decide business strategies for the future, in essence you are collecting data.

Data is a piece of information that can be collected and interpreted by an organisation for their use.

Naturally data that is specifically aimed to help an organisation is the most desirable; it is not always possible for an organisation to collect its own information.

So what types of data can be collected and used by a travel and tourism organisation?

The two most common sources of data are:

- Primary data – collected for a specific purpose
- Secondary data – generic information.

**Primary data**

Primary research data is newly generated information that you yourself or the organisation create, as opposed to the existing secondary data. The need for primary research data commonly arises because of gaps in the information available through the secondary research data.

The most common forms of primary market research for tourism businesses include:

- Customer surveys
- In-house questionnaires and feedback sheets
- Focus groups
- Electronic responses on the website
- Observation.

Primary data is considered to be either *qualitative* or *quantitative* research.

Qualitative research

Qualitative research does not look at numbers but tries to find out the reasoning behind certain actions, procedures, activities or ways of thought.

This is especially important when identifying reasons why certain tourism products and services are chosen or popular with other clients.

Whilst traditional qualitative research was aimed around getting ideas and thoughts people, either through specific focus groups or one-to-one interview, this data collection method can help provide hospitality and tourism managers with reasons to endless questions including:


- What customers want or expect
- Why the venue would suit the client
- What benefits are derived from tourism products and services
- What previous clients liked about a venue.

Quantitative research

Quantitative research is market research, based on structured, closed-ended questionnaires, which aims to gather responses that can be summarised in numbers.

When researchers use identical questions and response alternatives, they can summarise the information quantitatively or numerically by percentages, frequencies and averages. This allows for simple coding of results and computer analysis of results.

Samples can be larger and more representative and statistical techniques can be used to draw conclusions.

The main types of quantitative research are:

- Mail survey
- Telephone survey
- Face-to-face interview
- Combination of mail/telephone surveys as customers dial their responses via telephone
- Observation (detects via videotape actual behaviour of respondents).

**Secondary data**

Secondary data is information that already exists. It just needs to be found. A business can generate secondary research data from its sales figures, statistics, and databases and from other peak bodies who have already undertaken primary research and published the results of that research

Secondary data sources should be exhausted before primary research is undertaken. It must be relevant, accurate and sufficient. It is less expensive than primary research, easily accessible and immediately available.

Types of secondary data

Whilst the list of secondary data is endless, it may include:

- Domestic and international visitor statistics on departures, expenditure, visitor nights
- Visitor profiles including tourist origins, volume, purpose of trip, seasonality, accommodation, transport and expenditure
- Industry and government research reports on industry trends, current development activity and forecasts of future developments
- Client feedback
- Feasibility studies for new developments or products
- Responses to surveys, questionnaires on preferences, needs and current tourist activities.

Sources of secondary data

- Government statistics
- Libraries
- Internet
- Government websites
- Private market research firms
- Trade, professional and business associations
- Newspapers and magazines
- Business and industry-specific journals and periodicals.

## Sources of data

Data may be collected through endless sources, including but not limited to:

- Interviewing colleagues and clients
- Focus groups
- Data analysis
- Product sampling
- Documentation reviews
- Brochures/DVDs
- Industry statistics
- Trade journals
- Daily newspapers
- Internet
- Government departments
- Local council
- Friends, colleagues, business associates
- Other associated businesses in the field, e.g. suppliers.

## Identify current marketing situation

Information on the current marketing situation is normally drawn from a database of information that the organisation constantly updates.

This includes information on the market, product, competition and current strategies.

**Market situation**


- Total market characteristics - size, growth, trends
- Customer needs, perceptions and buying behaviour
- Products - service characteristics
- Prices
- Customer service and distribution
- Channels - principal channels used, stock turnovers, profit
- Communication - principal methods of communication used.

**Product situation**

- For each product/service that the organisation offers, sales, profits, contribution margins and growth should be displayed
- Product lifecycle and expected demand over the product's life
- Growth of the product/service should be contrasted to total market growth.

**Competitive situation**

- Industry structure - type of competition, marketing methods, new entrants, mergers, competitive arrangements
- The geographic market in which they compete
- Their current marketing performance
- Their competitive position (growing, contracting)
- Strengths and weaknesses, and vulnerabilities of each significant competitor
- Their objectives and competitive strategies
- Industry profitability - financial and non-financial barriers to entry, relative
- Performance of individual companies, volume, source of and cost of investment, effect and return on investment of changes in price.

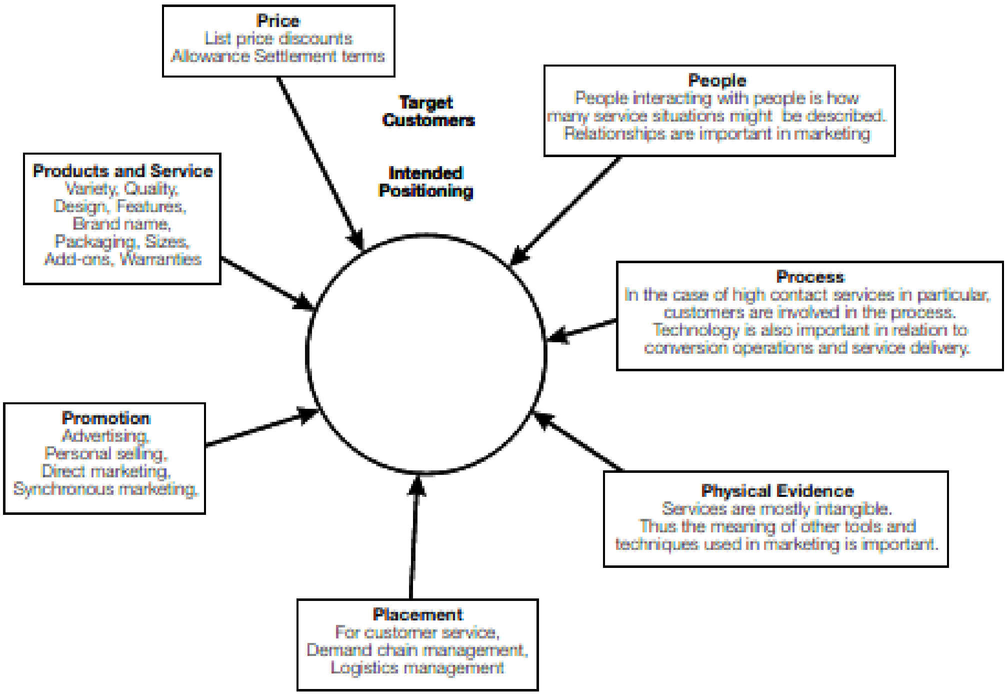
**Current strategies**

- Current product, price, place and promotional strategies
- Current people, processes and physical evidence strategies.

## Identify current marketing mix

A review of the marketing mix is important to see how each of the elements are currently performing and identifying what changes can be made for improvements in service and operational efficiency.

Following are the components of the marketing mix:




## Conduct a marketing audit

One effective way to understand the current marketing situation and to identify opportunities for future marketing activities is through the use of a 'marketing audit'.

In essence it is a list of questions designed to gauge the performance of different aspects of the current marketing strategy.

**The macro-environment**

- What major demographic trends pose threats and offer opportunities to this company?
- What economic developments in income, prices, savings and credit will affect the organisation?
- What is the outlook for costs and availability of natural energy? Is the company environmentally responsible?
- What are the key changes occurring in technology?
- What current and proposed laws will affect company strategy?
- What is the public's attitude toward business and the company's products?
- What changes in consumer lifestyles might have an impact?

**The task environment**

- What is happening to market size, growth, share, geographic distribution, profits?
- What are the major market segments?
- How do customers rate the company on product quality, service and price? How do they make their buying decisions?
- Who are the major competitors? What are their major strategies, market shares and strengths and weaknesses?
- What main channels does the company use to distribute products and services to customers?
- What trends are affecting suppliers?
- What key publics provide problems or opportunities?

**Marketing strategy audit**

- Is the business mission clearly defined and market oriented?
- Has the company set clear marketing objectives? Do these fit with its resources and opportunities?
- Does the company have a sound marketing strategy for achieving its objectives?
- Has the company budgeted sufficient resources to segments, products and marketing?

**Marketing organisation audit**

- Does the marketing person have enough authority over activities affecting customer satisfaction?
- Are the staff well trained, supervised, motivated and evaluated?
- Does marketing work well with all other staff in non-marketing areas?

**Marketing systems audit**

- Is the market intelligence system providing accurate and timely information about market place developments? Is market research being used effectively?
- Are annual, long term and strategic plans being used?
- Are annual plans being achieved? Are evaluation and control being used?
- Is the company well organised for new product and service development?

**Marketing productivity audit**

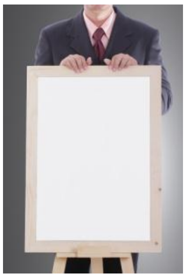
- How profitable are the company's different products, services and markets?
- Do any marketing activities have excessive costs? How can costs be reduced?

**Marketing function audit**

- Has the company developed good product and service objectives? Would products benefit from style, quality or feature changes?
- Are the organisation's prices in line with customers' perceived value? Are price promotions used properly?
- Are distribution objectives and strategies optimal?

- What are the company's promotion objectives? How is the budget determined? Are advertising messages and media well developed and received? Does the company have well developed sales promotion and public relations activities?
- What are the company's sales force objectives? Is the sales force large enough and properly organised? How does the sales team compare with competitors' sales teams?

## *Activity 5 - Develop a marketing mix strategy*



For your organisation, explain a marketing strategy you would wish to promote your organisation to potential clients.

| MARKETING MIX ELEMENT | STRATEGY |
|---|---|
| **Products and services** | **Identified in Activity 3** |
| **Pricing strategy** | |
| **People strategy** | |
| **Processes** | |

| MARKETING MIX ELEMENT | STRATEGY |
|---|---|
| **Placement** | |
| **Promotional strategy** | |
| **Physical evidence** | |


# 1.3 Review business performance information

## Introduction

One key aspect of reviewing the success of a business is to review the performance of different aspects of the organisation.

For a business to be successful, all aspects of the organisation should be contributing in a positive manner.

Most organisations will have key performance indicators, as we will explain in more detail later in this manual, which identifies expected standards of performance in all aspects of the business.

## Areas of business performance

Areas of business performance to review may relate to:

- Sales and bookings
- Profit
- Cash flow
- Trends
- Market share
- Business partnerships
- Position in the marketplace
- Image of the business
- Identifying strengths and weaknesses of the business
- Identifying critical success factors.

## Methods to review business performance

The different ways to review business performance will vary depending on which aspect of business performance is to be reviewed.

There are many tools or methods including but not limited to:

- Reports – statistical, financial, written or verbal
- Obtaining customer feedback
- Using a pretend customer
- Use of checklists
- Staff input and review
- Observation
- Surveys
- Checklists
- Flowcharts
- Benchmarking.

**Professional monitoring tools**

Tools that may be used to examine performance issues may include:

QC 7 Tools

- Cause and Effect Analysis
- Flow Chart Check Sheet
- Control Charts.

Management and Planning Tools

- Root Cause Analysis
- Plan-Do-Check-Action (PDCA)
- Priorities Matrix
- Process Decision
- Activity Network Diagram
- Affinity Diagram
- Matrix Diagram
- Program Chart.

Tree Diagram Problem Solving Models

- Five Whys
- Process Improvement Models.

## Reviewing past records and previous business plans

It is important to review past records and previous business plans to determine:

- What the earlier goals of the business were
- How the business tried to achieve them
- The extent of the success it had in achieving its goals.

Documents involved in the analysis can include:

- Accounting documentation relating to sales and purchases
- Profit and loss statements
- Balance sheets
- Cash flow reports
- Customer feedback documentation and complaints
- Incident reports and orders placed on the business by external agencies.

Consideration of previous business plans in terms of the directions they set, the targets put in place, the resources allocated and the degree of success achieved are critical elements of this review.

The main method of reviewing past records is to visually inspect them and make comparisons of ‘projected’ figures’ with ‘actual’ – that is, compare ‘goals’ with ‘results’.

## Reviewing legal business structure

Given that most business operations change over time it may be appropriate to re-consider what was once an effective business structure but which may now be less than optimal and which may, in fact, be hindering the operation of the business.

Business growth and diversity is a prime reason for re-examining business structure and taking advice from professionals such as tax planners, financial experts and legal counsel to restructure the business.

This is the main way of assessing the most effective structure to adopt and also the best way of determining the actual structure currently applying.

Also involved here is analysis of any restrictive terms possibly applying to the business – a restructure of the business may be necessary, for example, to enter a market sector or achieve are-positioning in the marketplace currently outside the legitimate realm of the current business structure.

Consideration of the business structure should apply to all sizes of businesses from small, owner-operated businesses through to large, multi-national enterprises.

## Reviewing client feedback

Tourism and travel businesses must be customer-focussed and one way of doing this is to review the feedback of clients

The key to reviewing client feedback is to look for trends rather than one-off events or complaints.

Review questions in this respect include:

- ‘What are the customers saying about your business?’
- ‘What do they want you to be?’
- ‘What do they want you to change?’
- ‘Why are these complaints happening? What’s causing them?’
- If you find you do not have any – or have insufficient – customer feedback you need to take action to obtain some:
    - Talk to past customers – face-to-face
    - Talk to potential customers – one on-one
    - Conduct a series of focus groups.

## Reviewing service audits

Service audits are checks to see how well your actual service delivery matches what you expect it to be as identified and described by:

- Relevant policies and company procedures
- Public statements the business makes about itself – such as Mission Statements, assertions on its website and in advertising materials
- Codes of Service or Conduct it subscribes to – as developed by an industry body
- Internal QA requirements.

Most businesses will have some form of service standard they wish to achieve in order to meet customer demands and to encourage repeat and referral business. It is these standards that must be used as the basis for the audit.

The gaps identified by the service audit may provide the basis for business strategies relating to:


- Staff training or re-training
- Recruitment and selection of new, different or more staff
- Changes to service delivery policy and procedures
- Revision of the target markets the business should focus on.

## Reviewing public perception of the business

The level of trade a business experiences is determined to a great extent by the perception the public have of the organisation.

The buying public will have a perception about a wide range of issues, many of which the business can easily lose focus on:

- Service levels – waiting times, politeness of staff, whether phone calls are returned, promptness of follow-up if a query or request is lodged or booking accuracy
- Price
- Quality
- Value-for-money
- Safety and security
- Comfort
- Staff knowledge about the products they sell
- Ease of making contact or obtaining information.

The intention of analysing what the public thinks of the business is to determine what the public think of the business. This can uncover the fact the public do not see the business the way the staff, management or the owners do or the way you want to be seen.

Most businesses will attempt to position themselves in a certain market segment. For example, prestige provider, budget provider, local expert, international expert in relation to factors such as price, quality, expertise and a range of possible other.

It is important to understand how the public, including your various 'target markets', interpret your efforts to do this. The purpose being to give you confidence to:

- Continue what you are doing - if it is favourably regarded by the public
- Change it - if it is not working.

## Reviewing financial performance

Naturally, an essential part of any business performance review needs to take into account the financial success of the organisation.

In order to gain a thorough understanding of financial performance, it is important to review:

- Current Financial Position
- Capital Requirements and any Funding Proposal
- Financial Budgets
- Cash-Flow Projections
- Projected Statements of Financial Performance (Profit & Loss)
- Projected Statements of Financial Position (Balance Sheet)
- Financial Ratios
- Financial Controls.

As mentioned, each organisation will have different aspects of the organisation it wishes to review.

## *Activity 6 - Research evaluation tools*

You are to conduct internet research and identify a suitable evaluation tool that you can use to evaluate any of the business aspects identified in this section.

# 1.4 Identify capabilities and resources of the business

## Introduction

The key aspects of achieving business success are through the use of capabilities and resources.

Whilst it is important to review the 'end results' as identified in previous sections, it is important to identify the capabilities and resources used in providing products and services to clients.

This section will explore in more detail the different types of capabilities and resources that apply to travel and tourism operations.

## Types of capabilities

Types of capabilities may include:

- Products and or services
- Capacity to produce goods or services
- Equipment capacity
- Skill level of staff, management and owners
- Hours of operation
- Communication capabilities
- Location/position of the agency
- E-business capacity
- Need for specialist assistance in certain areas
- Maintaining a competitive advantage.

## Types of resources

The use of resources are important activities in any business, especially is travel and tourism organisations

There is a need to make sure the organisation has the resources it needs to achieve its identified business objectives, while at the same time, ensuring that money is not wasted on resources that are not necessary or inappropriate to the task.

Resources can encompass:


- Physical resources
- Human resources
- Financial resources
- Intangible resources.

**Physical resources**

These types of resources are essential in performing basic operational activities.

They include:

- Equipment
- Raw materials
- Stock
- Technology
- Location.

**Human resources**

From an operational point of view, given that we are a 'services industry' the importance of staff in delivering this service component is of upmost importance.

Human resources include:

- Physical number of staff
- Staff expertise
- Skills
- Knowledge.

These will be influenced by:

- Recruitment
- Probation periods
- Remuneration
- Incentive schemes
- Work environment
- Training and development
- Your leadership style.

Types of other human resources required for service operations may include:

- Customer databases
- Outsourced parties (third party service providers)
- Service team members, which may include cross functional teams
- Other stakeholders which may be involved in an organisation’s service
- Value chain.

**Financial resources**

Whilst this is often not determined on an operational level, it is still important to recognise the importance of this type of resource. In many cases budgets will have the greatest impact on terms of financial resources available for operational managers.

Types of financial resources include:

- Cash
- Stock
- Equity
- Loans.

**Intangible resources**

Whilst these are not ‘seen’ they are certainly important in the service industry.

These resources include:

- Reputation
- Good will
- Image
- Brand.

## Factors affecting capabilities and resources

There are a number of factors that will need to be considered when determining capabilities and resourcing needs.

**Internal factors**

- Directions the business wishes to take
- Target markets
- Nature and type of customers
- Service levels and standards
- Services and products provided.
- Equipment used
- The existing reputation and image of the business
- Budget
- Style of service
- Existing resources
- Volume of customers
- Promises made.

**External factors**

- The external business environment
- Customer expectations
- Emerging trends
- Changes in legislation and technology
- Availability of resources.

# *Activity 7 - Identify resources for your organisation*

For your organisation you are required to identify the different resources that you would require to commence operations.

| TYPE OF RESOURCE | EXAMPLES |
|---|---|
| **Physical resources**<br>(List of all items required) | |
| **Human resources**<br>(List of different positions) | |
| **Financial resources**<br>(Estimate costings to purchased physical assets) | |

# 1.5 Identify under-performing products and services

## Introduction

It is vital that any underperforming products and services currently being provided in your travel and tourism organisation are identified in a timely manner.

Not only is it important that you identify problem areas or areas for improvement, but you also understand the reasoning behind the problems or substandard performance.

By understanding underlying reasons, strategies for change can be more accurately created.

## Types of underperformance

Given that the travel and tourism industry is focused on the provision of services, as opposed to products, it is essential to look at the underperformance of staff, give that they are the provider of services to clients.

Before we explore the reasons for staff underperformance, it is a good idea to identify common types of underperformance.

Underperformance in service oriented industries may include:

- Staff absences
- Professional incompetence
- Service failure
- Customer complaints
- Customer attrition
- Failure to meet targets, including:
  - Productivity
  - Sales
  - Customer contact
  - Service quotas.

## Methods to identify underperformance

Methods to identify underperforming products and services include but are not limited to:

**Observing what occurs in the workplace**

It is also important when observing workplace practice to:

- Observe at different times of the day - observe at busy and quiet times, normal trade days and times when you are very busy
- Observe different staff.

**Develop and use a checklist to guide what you observe**

Most properties will use a checklist to help guide and take notes about workplace practice which need to be improved

**Observing inefficient work practices**

Where you have observed inefficient work practices or staff or management have advised you of them, you need to take some time to observe what happens in relation to those practices.

Never simply listen to what is said to you and then act relying solely on verbal advice.

You must investigate yourself, gather evidence and determine the solution based on that but factoring in what others have told you. When you have identified a situation may benefit from change you need to watch what happens in relation to that issue.

You need to be there, look and take notes and capture fact-based evidence:

- What happens?
- Who is involved?
- What is involved?
- Who is affected?
- What time does it occur?
- Are there certain conditions which cause the situation?
- Take notes – you may even want to video what happens for later analysis, review and discussion with others.

**Looking for causes of problems**

This may include identifying:

- Poor layout – a re-design of the workplace may fix the problem
- Lack of equipment – perhaps more equipment is needed
- Faulty equipment – it may be the staff are competent but the equipment is letting
- them down
- Lack of staff numbers – perhaps the problem relates to insufficient staff being rostered on to cope with peak demands.

### Observing non-compliant situations

There are many laws and regulations in the travel and tourism industry we are expected to comply with and many times when staff may not discharge their obligations either as required by legislated requirements or as required by company policies and procedures.

Observation of their lack of compliance will help determine the response you need to implement in order to improve their level of compliance.

### Analysing documentation

To identify problems including

- Decreases in revenue and downturns in profit margins
- Excessive overtime being paid
- Too much wastage
- Poor productivity figures
- Trends
- Failure to attain targets set for the business
- High levels of staff turnover
- Instances where there is a lack of compliance between establishment and legal
- Requirements and actual practice.

### Being advised by management/owners

There may be an identified need for improvement based on their observation and analysis of workplace activities and performance. This also embraces advice from management regarding new business directions the business is aiming to take such as new target markets, new performance targets, new expected profit figures

### Involve workers in your observations

This has several benefits:

- It demonstrates your willingness to collaborate with staff and include them in the process
- It provides a different perspective on what is observed – as well as contributing another orientation as to why it is occurring
- Workers in the area are usually best placed to make recommendations about what needs to be done to fix any identified problem.

## Sources of underperformance

Whilst a number of problems relating to performance may be caused directly by staff, it is arrogant for management to think that every problem is caused by staff.

In many cases a downfall in service output can be related back to management decisions and influences.

These could be poor communication, lack of resources or ineffective rostering.

Before confronting an employee on poor performance or inappropriate job behaviours it is worth considering the likely causes of work problems.

**Employee qualities**

These sources stem from the employee themselves and can include:

- Problems of capacity, where the employee does not have the required aptitude or orientation for the tasks involved in the job, defects of judgement or memory
- Family related problems, such as marital problems, children, elderly dependant relatives, money problems, isolation from family
- Psychological problems, such as drug abuse (including alcohol), gambling, irrational fears, depression, aggressive behaviour stemming from self-image problems
- Physical problems, such as lack of energy, restricted movement, pain or illness.

**Organisational sources**

The origin of poor performance in the employee can sometimes be attributed to the organisation. These could include:

- Problems with higher decisions and policies, such as a person placed in the wrong position, insufficient organisational action over a grievance, organisational over-permissiveness (that is, everyone else does it so why shouldn't I?)
- Impact of supervisors, such as leadership style, bad communication or instruction, inappropriate managerial standards or criteria, discrimination and a lack of managing diversity
- Problems with peers, such as harassment, bullying, problems with team cohesion and acceptance, discrimination and hazing (peers not telling the employee everything they need to know to do their job)
- Problems from the work context, such as geographic location, bad physical work environment, unsafe conditions and work processes, problems with the way the job is performed.

**External sources**

These are problems an employee can have that stem from society and its values. These include situations where society's values clash with the job (for example, working in the gaming industry in a community that dislikes gambling, even selling tobacco):

- Clashes with moral or religious issues: working on certain days, assisting guests with certain unsavoury requests
- Changing economic conditions: economic uncertainty of rising interest rates or impending legislation that appears to create job insecurity).

## Corrective strategies to resolve underperformance issues

Whilst every situation must be addressed on its merits there are a number of suitable solutions to underperformance or staff dissatisfactions.

Corrective action may include:

- Open discussion and problem solving with relevant stakeholders
- Grievance reporting
- Employee counselling
- Developing and implementing action plans
- Job rotation
- Addressing staff perceptions of company branding
- Improved work processes
- Adjusting service resources allocations
- Training and development
- Resolving industrial issues
- Resolving occupational safety and health issues
- Management by walk about (MBWA).

# *Activity 8 - Identify & resolve underperforming services*

For a travel or tourism organisation identify common performance problems, their causes and possible strategies that may be implemented to resolve these problems.

| TYPE OF PERFORMANCE PROBLEM | CAUSE | STRATEGY TO RESOLVE PROBLEMS |
|---|---|---|
| | | |
| | | |
| | | |
| | | |
| | | |
| | | |
| | | |
| | | |

# Work Projects

It is a requirement of this Unit you complete Work Projects as advised by your Trainer. You must submit documentation, suitable evidence or other relevant proof of completion of the project to your Trainer by the agreed date.

1.1 Please complete the following activities relating to this Performance Criteria:

- Activities 1,2,3,4

1.2 Please complete the following activities relating to this Performance Criteria:

- Activity 5

1.3 Please complete the following activities relating to this Performance Criteria:

- Activity 6

1.4 Please complete the following activities relating to this Performance Criteria:

- Activity 7

1.5 Please complete the following activities relating to this Performance Criteria:

- Activity 8

# Summary

## Identify the internal business environment

**Identify and confirm core features of the business**

- Business plans and strategies
- Business strategy steps
- Understand vision, values and mission of the business
- Identify general core activities
- Identify core activities of travel agents
- Identify core activities of tour guides
- Identify products and services offered
- Identify customers
- Common customer segments

**Identify marketing information relevant to the current situation**

- Primary and secondary data
- Sources of data
- Identify current marketing situation
- Identify current marketing mix
- Conduct a marketing audit

**Review business performance information**

- Areas of business performance
- Methods to review business performance
- Reviewing past records and previous business plans
- Reviewing legal business structure
- Reviewing client feedback
- Reviewing service audits
- Reviewing  public perception of the business
- Reviewing  financial performance

**Identify capabilities and resources of the business**

- Types of capabilities
- Types of resources
- Factors affecting capabilities and resources

**Identify under-performing products and services**

- Types of underperformance
- Methods to identify underperformance
- Sources of underperformance
- Corrective strategies to resolve underperformance issues

# Element 2: Identify the external business environment

## 2.1 Identify expected market share

### Introduction

When researching information to help facilitate the business strategic planning process, it is essential to collecting and analysing information in a wide variety of 'environmental areas' that may impact on an organisation in the future.

Information must ensure it not only explores:

- Internal environment - what the organisation provides.
- External environment - what is provided or needed by competitors and the industry as a whole.

The internal environment was detailed in Section 1 of this manual.

Section 2 will focus on the external environment. That is the external influences impacting on a travel and tourism organisation.

Market analysis provides us with the information necessary to understand what can cause changes in our operational environment.

A prime intent of this activity is to gain a more insightful and detailed view of the organisation and where it sits in the overall business and other settings.

Market analysis is a fairly generic term that describes an activity that we are constantly conducting in order to target the right person with the right product/service at the right time in context with the workings of the market, our environment and our competition.

### Definition of market share

Whilst the concept of market share has been discussed in this manual, market share is defined at the breakup of market size in percentage terms, based on the volume of business conducted in relation to similar businesses in the industry.

It is used to identify the size and success of individual competing companies within a specific industry.

## Conduct a market share analysis

Market share analysis is used to determine how well an organisation is doing in the marketplace compared to its competitors within the industry.

The main aims of undertaking a market share analysis is to determine:

- Growth or decline of business
- Market place threats and opportunities
- The portion of market share that the organisation will strive to reach based on a number of indicators.

**Collecting market information**

Whilst market information would have been collected as part of the research process in Sections 1 and 2, the focus of this information should be aimed at determining the share of business within the industry.

There are many types of information collected for this type of analysis. This information can include but not limited to:

- Size of the overall market
- Market Growth Rate
- Indicators of market size - annual business volume in currency or in number of transactions
- Products and services sold / product definition
- Names of competitors
- Market share - overall and for different products and services
- Past market growth
- Emerging Opportunities / Threats
- Projected market growth.

**Identifying successful businesses**

By undertaking a market share analysis, it is important to determine what percentage of overall business each competing company holds. If a small number of businesses makes a high percentage of sales, then the region has a highly concentrated marketed. When sales are more evenly distributed across several different businesses, then the market is fragmented. The primary purpose of this exercise is to determine the top competitors in the field.

**Understanding successful and unsuccessful organisations**

By analysing both successful and unsuccessful competing businesses you can understand why one business is succeeding while another is struggling. This is an important aid in the setting of strategies for expanding the business. This includes avoiding the missteps of smaller businesses and learning from the victories and mistakes of the larger businesses.

## Activity 9 - Conduct a market share analysis

For the type of organisation you have selected in Activity 1, conduct a market share analysis of existing businesses in your region.

You are to identify:

- The main competitors
- The key products and services sold
- Market share of the existing businesses
- Leading organisations
- Reasons for success for these organisations
- Opportunities for market growth in the future for your organisation.

# 2.2 Identify external factors impacting on the business

## Introduction

The external environment refers to the area outside the business over which the venue has little or no control. It normally has the greatest effect on the need for change.

It can relate to changes in technology, changes in legislation, state of the economy, political situations, and competition in the marketplace.

## Economic climate

There is no doubt the state of the economy is extremely influential on trade and we have to be prepared to respond to the emerging economic climate. At times we can offer indulgent, extravagant, high-roller packages, whilst in other times we need to focus on low cost, value-for-money deals.

There are economic cycles that need to be taken into account in your business planning. They are periodic fluctuations that occur quite regularly, driving the general level of economic activity upwards (inflationary) or downwards (recessionary).

Economic considerations include:

- Inflation
- Currency exchange rates
- State of relevant economies
- Current spending patterns.

## Customer preferences & trends

Whether we lead the pack or follow the opposition or a combination of the two, we must respond to customer preferences.

Earlier in this manual we explored the different types of potential clients and the needs they may have.

## Markets

Markets are complex and rapidly changing with new and more complex customer demands, products and services.

Internationalisation is increasing and international competition is intensifying in many markets.

To ensure the right quality, companies must be better at understanding their environment and building-up the competence and ability to change before, or at the same time, as the outside world changes.

The luxury of lagging behind global changes has evaporated.

## Environmental issues

The demand for quality in the outer environment will place greater demands on how companies conduct their business, which sources of energy they use, and how they design their products.

More establishments will seek to portray publicly their environmentally friendly image.

This may mean they subscribe to organisations such as ECO-Buy or Green Globe.

Most organisations appreciate there are cost savings to made from 'going green', as well as marketing potential and the obvious effect of reducing the impact of the business on the planet.

Most businesses today will seek to demonstrate they align with triple bottom-line principles, taking into account not only the financial goals of the organisation but also social and environmental responsibilities too.

## Technological development

Technological development has played a key role in the structural changes in the service sector.

Boundaries between transportation, communication, travel-service and hospitality industries are disappearing as airlines (and others) begin to provide direct reservations, tours, conferences, car and accommodation arrangements, in-flight telephone service, and electronic retailing package delivery services in competition-and-coalition with thousands of other service units.

Many customers are looking for seamless service – a one-stop shop for all their holiday/travel needs, and technology is providing the means for this to be done.

Technology has also impacted on operational service delivery via computerised reservations systems, online reservations, hand-held ordering systems in restaurants, bar code scanning and the growing trend for customers to do their own checkout and payment after selecting goods.

<u>Advent of E-business</u>

More and more people are using the 'Net to access information and make bookings. We need to tap into this emerging but already substantial market and establish a web site.

We also need to exploit the opportunities this medium presents for reservations and various other activities such as internet sales, a forum for questions and feedback as well as a platform for information dissemination.

## Political issues

Some political policies that would influence a tourism organisation include:

- Fiscal Policies
- Monetary
- Wages
- Exchange rates
- Ease of travel
- Legislative changes.

## *Activity 10 - Identify external factors*

Use a variety of resources to investigate external factors that may impact on your travel or tourism organisation.

For each category, note down the major developments you believe will impact on your proposed business activity.

| EXTERNAL FACTOR CATEGORIES | EXAMPLES |
|---|---|
| Economic | |
| Customer preferences | |
| Markets | |
| Environmental issues | |
| Technological developments | |
| Political issues | |

# 2.3 Analyse comparative market information

## Introduction

Knowing what the competition is doing in the marketplace is a critical aspect of strategic planning for any business.

This knowledge can be combined with other data to determine:

- Which target markets the establishment will develop
- Which ones it may elect to move out of
- What the premises needs to do in order to meet or exceed what the opposition is doing.

## Changes in the competitive environment

As competitors introduce new services and facilities, the nature of our industry is we are often forced to respond and match their offerings or introduce something else in opposition to it. The key here is we have to know what the competitors are doing. We have to monitor their advertising, visit their premises and talk to our suppliers about what the opposition is doing.

We then have to take some action to exploit an opportunity or mitigate any potential negative impacts – whichever way we go, we have to realise 'knowledge is power' only if we act on it. Knowledge on its own is next to useless.

As part of this analysis, it may also be prudent and instructive to undertake a similar analysis of your competitors so that you have a better understanding of the total opposition ranged against you, and the marketplace in general.

## Identifying the competition

It is important to identify the main competitors to your business including their:

- Name
- Address
- Number of staff
- Strengths and weaknesses.

This knowledge will assist you in formulating competitive strategies to lure their customers to your business. What is your competitive advantage?

## Analysing the competition

When analysing the competition, it is useful to gather evidence of the following:

- Who are they, and where are they located
- Facilities available
- Location and distribution area that they have established
- Target markets they appear to have set
- How well they present to potential customers
- Territory
- Customer accounts
- Product and service mix
- An objective assessment of the quality of their product/service – Are they providing good quality, costs, variations, reliable service, acceptable trading hours, and value-for-money?
- Their promotional mix – what they do in terms of advertising, when and how

- Packaging or presentation
- Their pricing structure – Do they give discounts, trade-ins, and a wholesale and retail structure?
- Access
- Continuity
- Volume
- Trading terms
- Service standards that are being delivered
- Their level of customer service – What do they provide? Are their staff good at selling and service?
- Degree of alignment between the promises being made and actual service delivery

- Customer satisfaction.
- The market share that the competition is enjoying
- The significance of their market share of the market in the local area.

## Methods to analyse the competition

Ways to achieve this are to:

- Visit the opposition and look around/browse
- Make a booking with them
- Make an enquiry – in person or by phone
- Check out their internet site
- Read the advertising materials they have made available in the marketplace.

## Developing a competitive advantage

The intent of conducting research is to help determine what competitive advantages you have over your competitors so that you can exploit them.

This research helps you to identify your USPs (Unique Selling Points) in either product or service (or both).

A USP is something your organisation offers that no-one else does – this makes it unique. The marketing approach says that this USP should be highlighted in all of your advertising so that customers get to know that they can only get this particular service, produce, facility, advice, etc. at your store and nowhere else. The intention is that this USP will act as a motivator for customers to buy from you.


## *Activity 11 - Identify your competitive advantage*

Based on the market share analysis, identify the strategies you would implement to establish a competitive advantage of the competition.

| COMPETITIVE ADVANTAGE | DESCRIPTION OF STRATEGY |
|---|---|
| | |
| | |
| | |
| | |

## Explore the potential for joint ventures and strategic alliances

As mentioned, it is vital that organisations have knowledge of their competitors.

That said, when visiting and researching competitors, you may also identify other businesses or organisations that may work with you in the future. Are there any network opportunities in the area?

It may be that there is an opportunity for your business to form a joint venture or strategic alliance with another organisation. The most common form in the travel and tourism industry of this would be the purchase of a franchise.

It can be an excellent way to get into a business that has a proven reputation, well-known branding and established product, with support from extensive advertising, promotion, training and assistance from the head office.

Consider the advantages of recognition of a brand name that applies to a franchise operation such as McDonalds or Travelscene.

On the down-side, you will need to comply with the parent organisation's policies, fit-out of the premises, product (usually no variation is allowed) and will be required to pay them entry fees, royalties based on turnover, and a set fee for advertising and promotion. This can be very restrictive, and the success of your business will depend largely on how well you have researched all the advantages, disadvantages, competitive advantages and consumer demand in your location.


### *Activity 12 - Identify possible strategic alliances*

Identify any two possible strategic alliances that you would consider to help increase market share and overall business growth.

| NAME OF COMPETITOR | TYPE OF STRATEGIC ALLIANCE | REASON OR BENEFIT OF ALLIANCE |
|---|---|---|
| | | |
| | | |

# 2.4 Analyse industry and customer trends

## Introduction

Understanding trends of the industry is vital in ensuring that what you are seeking to provide to the market is not only fresh and relevant but is in demand.

Your research should seek to:

- Determine what the trend is
- Identify whether it is a positive or negative trend
- Calculate how long the trend has been identifiable – to ensure it is actually a trend and not an aberration
- Determine the possible threat or opportunity this trend presents or provides, so action can be taken in terms of developing appropriate business strategies.

Regardless of types of trends being researched, the keys are to:

- Be proactive
- Keep an open mind
- Using a variety of sources
- Recording what you find.

## Definitions of trends

There is a need to be aware of any venue-specific requirements regarding definition of what is actually a trend.

For example:

- A one-off event or statistical anomaly is not likely to be interpreted as a trend
- There may be a requirement for the identified issue (‘something’) to be present in at least four) consecutive analysis processes before it can be deemed a ‘trend’
- Things under a nominated value or amount will not be considered for the purposes of trend identification
- Matters impacting certain classifications of people as identified by nominated demographic characteristics will not be considered
- A nominated software package must be used for the purposes of identifying and quantifying trends
- A specific data analysis method/technique must be used to determine trends.

## 'Something'

The following are examples of what emerging trends can relate to:

- Online presence
- Where and how clients access their information about the business
- Regular customers from a new market segments
- An increase or decrease in enquiries from a certain target market or market segment
- A new need, want or preference being identified by market research, customer comments and feedback
- Increases in sales in specific products , services, destinations or packages
- Mention customers no longer want a nominated product or service
- A growth in certain booking or payment methods
- Stated environmental or social concerns raised by clients
- Lower or higher average spend-per-person
- Increase or decrease in the number of sales made by agents or through the venue.


## Emerging trends

The aim of 'analysing information' in this context is to identify emerging trends.

The data and statistics you gather must provide the basis for determining whether or not a trend exists or is emerging.

An emerging trend may be seen as:

- Something (see above) which did not previously exist but now does
- A variation to a previous pattern – the variation may be:
  - Positive – a 'growing' trend
  - Negative – a 'declining' trend
- A change in the degree of the variation. For example, a previous trend was 5% growth whereas current figures show a 50% increase.

## Sources of trend information

There are a number of sources that will be a great starting point to get an overview of the industry as a whole and the trends that may impact a business and the selection of new products or services they are thinking of introducing.

These trends may be identified through:

- Direct observation
- Personal surveys
- Internet research
- Colleagues, supervisors and managers
- Head office
- Customers
- Industry suppliers
- Developing your own industry network
- Conferences and seminars
- Product launches
- Industry statistics from industry bodies or associations
- Data from relevant government agencies
- Trade magazines
- Industry publications
- Newsletters and brochures
- Advertisements
- Reference books.

## Market trends

An analysis of the general business environment gives you information about current conditions within your industry. It is equally important to identify favourable and unfavourable changes and trends. They indicate possible opportunities and threats to your business.

Considerations include:

- Is the economy currently in a boom or recession cycle and where is it heading in the immediate future?
- What is the general confidence level amongst business persons and families?
- Demographic factors in the area, and projected growth – include population characteristics such as age, gender, occupation, home ownership, education levels, attitudes
- Cultural trends and changes regarding life styles
- Technological changes impacting on business and family life.

## Social trends

Social significance relates to how a society deems something to be important in their lives.

In terms of tourism, more people work harder and therefore want to enjoy their relaxation time.

Social trends show society has:

- A better quality of life
- Greater need for tourism products
- Greater community pride
- Great understanding and appreciation of the world
- Increased appreciation of culture
- Greater understanding of other people.

## Customer trends

The key to knowing about changing trends, from a marketing perspective, is that this information needs to be related to customer-focussed concerns.

Your market research will have identified the areas and issues that are important to your various target markets, so profiling the business's customers requires that you relate these to the products and services you are offering.

The point being that you need to be able to identify, understand and explain how your products meet the specific classifications of customer demands that exist within your different market segments.

These customer demands may vary according to:

- Personal preference
- Health factors
- Age
- Cultural group
- Dietary issues
- Price
- Contemporary eating habits
- Media influence
- Cultural and ethnic influences
- Seasonal and popular influences
- Major events and festivals.

## Tourism industry statistics and trends

Understanding industry statistics and trends is essential when trying to create products and services to meet the needs of existing and potential clients. Statistics prove a ‘snapshot’ of important information which can be examined and applied to improve business operations, attract new markets or build confidence in the eyes of a consumer.

Whilst there are endless industry trends and statistics that can be researched, some of these include:

- Types of tourism and tourism businesses
- Types and demographics of customers
- Top destinations
- Hotel occupancy percentages
- Reasons for stays
- Current industry information
- Destination countries
- Departure months
- Length of stay
- Type of organisation for the trip
- Transport mode
- Accommodation type
- Expenditure
- Popular tourist attractions
- Tourism patterns
- Technology.


## *Activity 13 - Identify industry & customer trends*

Identify a range of industry and customer trends that will affect a tourism organisation.

| **INDUSTRY TRENDS** | | |
|---|---|---|
| **TYPE OF TREND** | **NEEDS BASED ON TREND** | **OPPORTUNITY FOR ORGANISATION TO EXPLOIT TREND** |
| | | |
| | | |
| | | |

| **CUSTOMER TRENDS** | | |
|---|---|---|
| **TYPE OF TREND** | **NEEDS BASED ON TREND** | **OPPORTUNITY FOR ORGANISATION TO EXPLOIT TREND** |
| | | |
| | | |
| | | |

# 2.5 Analyse the legal and ethical issues in the market place

## Introduction

For any business it is important to understand the different types of laws that govern business operations and activities.

Laws are legally binding requirements established under legislation or Acts.

In addition to laws, there are many other 'rules' or 'conditions' set down by governments, local councils and industry authorities which not be legal, but advise you to adhere to in addition to legislative requirements.

There are many, many pieces of legislation, licences, permits, fees etc that will apply to travel and tourism businesses. They will differ from country to country and to different types of tourism and travel related businesses.

In addition legislation, licences and fees are always subject to change over time so it is essential you develop knowledge of where to go to obtain current information and who to speak to.

## Tourism law

Tourism Law is commonly defined as a body of rules or principles of action which deals with the regulation, authority, relations and obedience among members of a society involved in tourist travel and accommodation.

It includes persons travelling from place to place for pleasure (tourist), and business establishments or persons engaged in the occupation of providing various services for tourists.

Therefore tourism laws deal with the various laws governing tourism in different ASEAN countries. It includes various government agencies, both at a national and regional level

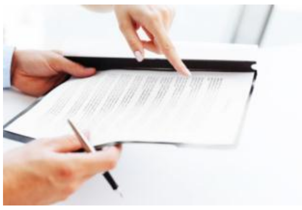
## Types of laws and regulations

Following is a list of various laws and regulations that impact the travel and tourism industry.

**Law**

The system of rules which a particular country or community recognises as regulating the actions of its members and which it may enforce by the imposition of penalties.

## Legislation



Legislation is that source of law which consists in the declaration of legal rules by a competent authority. Legislature is the direct source of law. Legislature frames new laws, amends the old laws and cancels existing laws in all countries. In modern times this is the most important source of law making. The term legislature means any form of law making. Its scope has now been restricted to a particular form of law making. It not only creates new rules of law it also sweeps away existing inconvenient rules.

Another source of law is judge-made law or case law.

## Common law

This is law which is not the result of legislation.

It is law made by the decisions of judges over time. It is a set of rules developed by judges and these rules are based on 'precedence' meaning the judge must follow previous binding decisions when deciding a case.

If a judge does not follow precedence then the decision is not legally binding.

Common law looks at 'fault' and damages will be awarded based on the degree of fault, age of the victim and the extent of the pain and suffering.

## Act of Parliament

An Act of Parliament is a statute enacted as primary legislation by a national or sub-national parliament.

## Regulations


Principle or rule, with or without the coercive power of law, employed in controlling, directing, or managing an activity, organisation, or system

Regulations are enforced usually by a regulatory agency formed or mandated to carry out the purpose or provisions of legislation. Also called regulatory requirement

## Codes of Practice

Where codes of practice are established under legislation, these have legal weight.

Compliance codes support and supplement the intent of legislation. They provide advice, information and direction on how businesses can achieve compliance with the legislation.

Compliance with these codes is not mandatory. You may elect to comply with your obligations in other ways other than as set out in the codes, however in practical terms, compliance with codes equates to compliance with the Act or the regulations.

If a venue breaches these codes, they cannot be penalised at law. It is up to the industry bodies to take action on the breach and bring the offending property back into line by the use of explanations or sanctions.

The key is to research the legal standing of any Code of Practice you have to deal with to determine the legal standing of the code.

**Civil and criminal law**

Civil law deals with disputes between individuals.

An example would be where a staff member sued you for negligence in failing to protect their safety while at work. It provides for compensation through the awarding of damages or injunctions.

Criminal law deals with issues between the government and an individual.

An example is failure to comply with the requirements of an Act. This law provides for punishment of the wrong-doer such as via fines and gaol.

## General areas to which legal requirements apply

The industry has numerous legal compliance requirements covered by an assortment of legislation.

These apply to areas including, but not limited to:

- Business establishment
- Business operation
- Licensing
- Consumer protection and trade practices
- Duty of Care
- Fair trading legislation
- Employment relations
- Employment of foreign workers
- Superannuation / Pension Funds
- Contributory Negligence and Personal Injuries legislation
- Contracts
- Income & company taxation
- Goods and Services taxation
- Financial recording and management
- Anti-corruption
- Copyright, patent, design and trademark protection, trade secrets
- Occupational safety and health (OSH)
- Fire Safety
- Environmental legislation
- Insurance requirements.


## Legal considerations

Analysis of legal factors should include the laws and regulations the business must comply with as well as any new laws being proposed and how these may impact the business.

You may consider the following:


- Changes to legislation and regulations that have impacted, or have the potential to impact on the business
- Industry codes of practice
- Consumer expectations
- Social responsibilities.


### *Activity 14 – Identify legal requirements or trends*

You are to outline the legal requirements or trends that would impact on your travel or tourism organisation.

| LEGAL REQUIREMENT / TREND | IMPACT ON YOUR ORGANISATION |
|---|---|
| | |
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| | |

## Ethical considerations

Ethical requirements relate to issues about which a personal judgement has to be made regarding the way the business elects to conduct its business.

In some cases, the ethical behaviour of a business may be governed by legislation, and in other cases it is purely up to the individual operator to determine what is acceptable as ethical behaviour and what is not.

The basis of many ethical decisions comes down to personal values.

It is a fact of life that the economic imperatives of a business can often influence the ethical business decisions that are taken.

**Aspects of business requiring an ethical component**

There are numerous aspects that can be considered under ethical requirements ranging from specific actions to general operating protocols.

In short, nearly every aspect of operating a business has an ethical component.

When operating a business that is highly people-focussed, such as any tourism business, this rises even more.

From an ethical perspective there exists a need for you to determine what your ethical standards, practices and platforms are in regard to:

- Products – do you buy from companies that are environmentally responsible or from the company that gives you the cheapest price?
- Service provision – do you make sure that staff you employ are provided with the resources, training and supervision to do their job properly, safely etc?
- The environment – do you apply sustainable and environmentally sensitive practices or don’t you bother to consider issues such as recycling, energy management, noise pollution etc?
- People – do you provide working conditions to employees that are over and above the basic requirements of the employment instrument or do you strictly adhere to the legally imposed minimum basics? Do you care for patrons that appear distressed even though there is no legal obligation to do so?
- The community – do you operate on a strictly ‘for profit’ basis or do you respond to and participate in your local community, over and above purely economic considerations?
- Money – there will often be situations where you are able to obtain money out of the business for personal use
- Promotions and advertising – legally you are prevented from advertising in a false or misleading manner but there is always a ‘grey area’ where the real truth can be blurred. What will be your orientation to ‘truth in advertising’? Will it be a genuine transparent approach or are you prepared to tell small lies?

- Intellectual property – what will be your standpoint regarding using without appropriate payment or permission information that is not yours to further the ends of your business?
- Conflict of interests – if you are working for more than employer, where does your loyalty lie? Are you able to keep confidences, or is it acceptable to tell one business what the other business is doing, how much revenue they are earning, what their costs, what new customers they have won, what markets they are targeting?

As you can see there are lots of instances where there is a need to consider ethical behaviour in setting the direction for the business and in the normal everyday working life of the business.

Many of these decisions are not simple, and it is usually the case that once you compromise your values and ideals and make an unethical decision it is easier to make the next unethical decision.


## *Activity 15 – Identify ethical practices*

You are to outline examples of ethical practices you would incorporate into your travel or tourism organisation.

| TOPIC OF ETHICAL PRACTICE | METHOD TO IMPLEMENT ETHICAL PRACTICE INTO THE WORKPLACE |
|---|---|
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## Conduct a SWOT Analysis

So far in this section we have investigated the internal (Section1) and the external (Section 2) influences on a business.

Now that we have a thorough understanding on what may impact on a business it is time to undertake a SWOT Analysis.

In reality the research conducted would take place as part of the SWOT Analysis.

A SWOT (Strengths, Weaknesses, Opportunities and Threats) Analysis is the process of gathering together data on both the internal and external environments the business is operating in.

The internal analysis determines the:

- Strengths – what the business does well
- Weaknesses – what the business can improve upon.

The external analysis identifies the

- Opportunities – where the business can improve or take advantage
- Threats – where the business may become disadvantaged, weakened or susceptible.

The SWOT Analysis is also known as a ‘Strategic Analysis’ and a ‘Situation Analysis’.

A SWOT analysis is a fundamental pre-requisite for any business strategic planning activity.

You have to know where you stand in relation to the rest of the marketplace and where the business stands in terms of itself and its resources.

**Strengths and weaknesses**

This looks at the internal structure, operations and ability or capacity in terms of:

- The mission of the business – is it still appropriate? Are you achieving it? Has the business changed into something else?
- Finance – available cash flow, debt-equity rates, level of assets, profitability, and capital available. This reflects the previous results the business has experienced


- Production – extent and quality of systems and technology to enable the business to operate. Is it up-to-date or in desperate need of an upgrade or a replacement?
- Resources – the level, variety and availability of resources to provide suitable products and services
- Offerings – taking into account the product mix of the business. Is this mix ‘sufficient’ or does it need growing or expansion into other areas, products or services?
- Marketing – can relate to customer database information available or existing within the business, details about price structure including discounts and commissions, distribution channels such as other agencies or establishments as a source of bookings, location of the business including internet exposure, promotion undertaken, as well as the extent of service and product range

- Product life cycle – a product or service nearing the end of its product life cycle can be a weakness indicating a need to replace it, refine it, re-brand it or add some new option to re-create it under a different name
- Business relationships – assessing the nature and effectiveness of the arrangements with suppliers, agents and head office. How have they changed over time? Are you dependent on just one supplier or carrier? Are you getting the right quality products and the service you want? Are you being supported by those who are supposed to serve and support you?
- Relationships with customers – analysing the extent and effectiveness of the CRM and the information it contains, in terms of currency, quality, type, quantity
- Personnel – this looks at number of staff employed, their knowledge, skills and abilities, the level of morale, leadership and internal communication in the business.

**Opportunities and threats**

This looks at the external influences that face the organisation and can include:

<u>Political considerations</u>

Analysis of political considerations should include:

- The political stability of the country
- Is a change of government imminent and if so what implications can be expected?
- Feelings in relation to international trade and dealings
- Political relationships between home country and those countries with whom you do a lot of business
- The support available from government agencies and bodies for industry training or initiatives.

<u>Economic considerations</u>

The economic environment in which the business operates – addressing matters such as:

- The local economic environment as well as the economic state of other countries from which the business draws its customers
- Inflation
- Interest rates
- Exchange rates
- Levels of employment and unemployment
- Availability of local competent staff
- Amount of discretionary income customers have
- Community thoughts on the state or future of the economy.

Social considerations

Analysis of social factors should include:

- Statistics and trends in relation to demographic characteristics of markets – such as: Are customers getting older or younger?
- What is the ratio of males to females? Is this changing?
- What image does the industry have in the eyes of society? Is it a positive image? Is it tarnished for some reason and if so how and why?

- Projected responses of local and other communities if the business pursues various options - such as entering into a relationship with a certain organisation, entering into a new market, erecting a new building
- The status of the business in the eyes of the community as a 'corporate citizen'
- Mobility of people and their ability to travel to and from the venue.

Technological considerations

Analysis of technological factors should include:

- Does the current technology being used by the business remain effective and efficient?
- Is there new technology in the marketplace which should be used to improve business performance or save time or money?

- Provide better and different facilities for customers and perhaps give the venue a USP or meet identified customer demand and meet competition?
- Does legislation require use of nominated technology? When?
- What is the cost of new technology and what are supply or purchase options?
- Dangers or problems inherent in adopting new technology or integrating it into existing systems or processes.

Environmental considerations

Analysis of environmental considerations/factors should include:

- Sustainability issues
- Use of power and water

- Rubbish disposal
- Pollution – traffic, noise, air, water
- The impact of the venue on local communities.

**Opportunities**

Opportunities which should be highlighted in the analysis relate to:

- New markets – including niche markets – which may be pursued by the venue in terms
- New, up-dated or modified products or services which can be introduced to the service menu
- Occasions where new/higher prices may be charged
- Problems being experienced by other providers which result in an opening for you
- Closure of an opposition business
- Fresh markets now available to you as a result of previous action you have taken – such as how you have trained your staff, new equipment or resources you have purchased, refurbishments you have undertaken, new database of information you have about potential clients.

**Threats**

Threats may include issues relating to:

- Introduction of new or more severe legislation
- Opening of a new competitor
- Worsening economic conditions
- Staff shortages
- Difficulty in obtaining physical resources
- An unsettled domestic situation which scares off tourists
- Negative comparative monetary exchange rates with countries who are major clients.

# Activity 16 – Conduct a SWOT Analysis

Based on the information collected in Sections 1&2 of this manual, you are to prepare a summarised SWOT Analysis for your travel or tourism organisation.

| STRENGTHS | WEAKNESSES |
|---|---|
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| | |
| | |
| **OPPORTUNITIES** | **THREATS** |
| | |
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# Work Projects

It is a requirement of this Unit you complete Work Projects as advised by your Trainer. You must submit documentation, suitable evidence or other relevant proof of completion of the project to your Trainer by the agreed date.

2.1 Please complete the following activities relating to this Performance Criteria:

- Activities 9,11

2.2 Please complete the following activities relating to this Performance Criteria:

- Activity 10

2.3 Please complete the following activities relating to this Performance Criteria:

- Activities 9,11,12

2.4 Please complete the following activities relating to this Performance Criteria:

- Activity 13

2.5 Please complete the following activities relating to this Performance Criteria:

- Activities 14,15,16

# Summary

## Identify the external business environment

**Identify expected market share**

- Definition of market share
- Conduct a market share analysis

**Identify external factors impacting on the business**

- Economic climate
- Customer preferences & trends
- Markets
- Environmental issues
- Technological development
- Political issues

**Analyse comparative market information**

- Changes in the competitive environment
- Identifying the competition
- Analysing the competition
- Methods to analyse the competition
- Developing a competitive advantage
- Explore the potential for joint ventures and strategic alliances

**Analyse industry and customer trends**

- Definitions of trends
- 'Something'
- Emerging trends
- Sources of trend information
- Market trends
- Social trends
- Customer trends
- Tourism industry statistics and trends

**Analyse the legal and ethical issues in the market place**

- Tourism law
- Types of laws and regulations
- General areas to which legal requirements apply
- Legal considerations
- Ethical considerations
- Conduct a SWOT Analysis

**Analyse the legal and ethical issues in the market place**

- Tourism law
- Types of laws and regulations
- General areas to which legal requirements apply
- Legal considerations
- Ethical considerations
- Conduct a SWOT Analysis

# Element 3:
# Define and implement business strategies

## 3.1 Formulate business objectives for individual business units

### Introduction

One of the initial aspects of establishing business strategies is to identify objectives you wish to achieve. The objectives are the goals or targets to work towards and once defined, enable the planning of strategies to achieve them.

It is preferable to have realistic annual objectives, which are later broken down into monthly targets. They need to be consistent, follow through and relate to each other e.g., if your sales objective is $250,000 for the first year, then the gross profit margin should relate to that sales value – perhaps 80%, depending on your industry. It is important to research industry averages and benchmarks and to strive to achieve equal or better than their results.

### Identify business units requiring objectives

Depending on the nature of the organisation, objectives will be developed for the following business units:

- Individual programs and sub-programs and/or individual product and service lines
- Cost centres
- Branches and agencies including sub-agencies.

### Develop SMART objectives

It is essential to make sure that objectives are clearly stated. Set measurable objectives which are not vague generalisations, even though they may not necessarily always be in numeric term), so results can be evaluated. They should be achievable, but provide the motivation for the business to work efficiently and enthusiastically towards sustainable growth and improved results.

Objectives need to be specific, measurable, accurate, realistic and trackable – SMART.

**Specific**

For example, it could specify a percentage or a total amount increase or decrease in profit or market share.

Goals such as ‘launch an advertising campaign to improve image’ or ‘increase profits’ or ‘reduce costs’ are just too vague.

**Measurable**

That is, they need to be quantifiable.

If you have an objective of increasing market share for example, how do you know when you have actually achieved it?

Have you, for example, achieved your objective when you increase market share by 0.01%, or by 0.05%, or by 1%?

**Accurate and Realistic**

They should not be 'pie in the sky' type objectives.

They should be challenging and test the business, forcing it to grow, but they should also be achievable.

Objectives seen as too easy or too hard will be de-motivating.

**Trackable**

They should be able to be monitored from over time.

Sometimes this 'T' stands for 'Time-related' indicating they have a timeframe attached to them identifying the time or date by which they are expected to be achieved.

It is essential any opportunities for improvement can be specified in terms of SMART objectives.

## Focus of objectives

Objectives may be focused on:

- Sales figures
- Revenues
- Delivery times
- Service standards
- Client numbers
- Client handling times
- Staff turnover
- Profit margins
- Client development
- Geographic expansion
- Organisational growth
- Service growth
- Debt reduction
- Income development
- Re-positioning the business
- New target markets
- Meeting competition
- Customer loyalty.

The following table is a very simple set of objectives for the Singapore Travel Agency.

**Singapore Travel Agency**

| OBJECTIVE | SMART OBJECTIVES |
|---|---|
| Develop the business to be the most profitable of its type in the local area | To increase the number of customers by 25% in Year 2, and a further 10% in Year 3 (compared with Year 1 results) |
| | To reduce the costs of operating the business by 10% in Year 2, and by a further 10% in Year 3, (compared with Year 1 results) |

## *Activity 17 – Identify SMART objectives*

Develop a set of key objectives for your business over the next three years. You may wish to include objectives other than that shown in the above table.

| OBJECTIVE | SMART OBJECTIVES |
|---|---|
| | |
| | |
| | |
| | |
| | |
| | |
| | |

# 3.2 Review existing business strategies

## Introduction

Once you have identified your business objectives, it is now time to reflect on past strategies as a learning tool as to how to progress in the future.

Learning lessons from inside the business is a valuable thing because the experience is specific to the business and not an irrelevant, generic, industry-based example.

## Reviewing previous business plans and strategies

Consideration of previous business plans in terms of the directions they set, the targets put in place, the resources allocated and the degree of success achieved are critical elements of this review.

There is a need to review previous business plan and strategies to determine:

- What the earlier goals of the business were
- How the business tried to achieve them
- What has worked in the past
- The extent of the success it had in achieving its goals.
- What strategies were not successful
- Reasons behind success and failure of previous strategies
- Which strategies can be used in future strategic planning, either in their existing format or amended.

## Documents to review

The main method of reviewing past records is to visually inspect them and make comparisons of 'projected' figures' with 'actual' – that is, compare 'objectives' with 'results'.

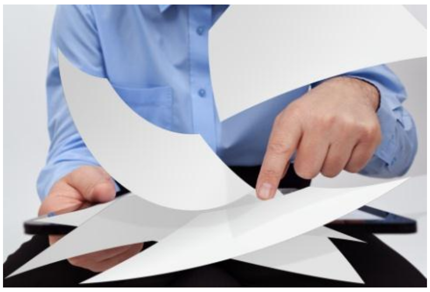
Documents that can be used to review the success of previous business strategies include, but are not limited to:

- Business plans
- Business strategies
- Accounting documentation relating to sales and purchases
- Budgets
- Profit and loss statements
- Balance sheets
- Cash flow reports
- Customer feedback documentation and complaints
- Incident reports and notices/orders placed on the business by external agencies.

# *Activity 18 – Identify documents for review*

If you were to review previous business documents to identify strategies for success in the future, which documents would you look at and why?

| DOCUMENT | REASON FOR REVIEWING DOCUMENT |
|---|---|
| | |
| | |
| | |
| | |
| | |
| | |



# 3.3 Develop business strategies relating to established strategic objectives for the organisation

## Introduction

With the research completed and a comprehensive analysis and evaluation of the facts and previous strategies finalised, it is time to identify the strategic action that needs to be taken to move the business forward.

This section identifies generic opportunities for businesses to maintain or improve profit, and supporting mechanisms to determine them and assist in their determination and attainment.

In its most basic form, a business can only maintain or improve profit in a sustainable way by:

- Increasing revenue
- Reducing costs.

In essence this means earning more or spending less.

The keys to this stage are to ensure:

- Opportunities are optimised
- Threats are addressed and either reduced or eliminated
- Strengths are capitalised on
- Weaknesses are strengthened.

In most cases, the final business strategies developed will address several of these issues rather than identify just one, single objective.

## Steps in developing business strategies

These steps include but are not limited to:

- Involve input of stakeholders
- Identifying possible business strategies
- Developing capability statements
- Undertaking gap analysis between capabilities and expectations
- Investigating and evaluating strategic options in accordance with the strategic plan for the business
- Prepare Key Performance Indicators (KPIs)
- Define and assign roles
- Identify support and resources required to support implementation of new strategies.

## Involve stakeholders

Many people have an interest in your business and its success. These include colleagues, employees, suppliers, your customers and the community in which you operate.

As a small business operator, you are part of a team and need the effort and co-operation of other people to achieve your goals. Colleagues and employees are the people you most rely on, apart from family, to support your business and work for its success. Involving them at an early stage and giving them an opportunity to contribute to the planning process will help them “own” the plan and work towards its success.

**Importance of involving stakeholders**

Working through strategic planning with those responsible for their implementation, can provide an early warning of complications and resistance, and may suggest a better approach than you could have achieved from acting on your own.

Helping colleagues and employees to understand the objectives of your business enables them to work independently towards their achievement. It also empowers them to take actions in your absence in a manner sympathetic to the business goals. In this way, small issues can be resolved before they develop into major issues for your business.

Although an action has been written down to be achieved in a particular time frame, keep in mind that the operating environment is not static. You may need to change suppliers, competitors could introduce new promotions and products, economic circumstances and personal situations could change. All or any of these changes can occur at any time after you have developed your operating plans.

Support for employees, in removing barriers to achievement, or providing guidance and advice, is important to the achievement of the business plan. This is a key role for the manager or owner of a business, or a project leader. Whilst there appears to be a role reversal of you serving those you employ, it is much more efficient to delegate and empower employees than do the whole job yourself.

Additional resources in terms of people, supplies or cash can be required as a project or business develops. Remember that you began with the knowledge available at the time of establishing your plan. It is probable that you had to make some assumptions and decisions about the level of resources required. As you get further along the track, the actual level of resources required becomes apparent.

**Develop business strategies relating to established strategic objectives for the organisation**

Encouraging teams and individuals to provide input into the business strategic planning process is a key aspect of the manager’s role in developing team commitment and cooperation.

Leaders should encourage team members to develop and contribute innovative ideas and inputs into how business strategies can be developed and implemented.

This signals management’s recognition of staff as valuable members of the organisation in the overall work process, rather than just as operational staff.

It also underlines the importance of communication in the workplace. There is little point in team members having great ideas or suggestions for improving the business planning or operations relating to it if they are not shared, or if they believe their input will not be appreciated or considered.

**Methods to encourage staff input**

Examples of ways in which leaders can provide ongoing input into the business plan or the business plan can be implemented include:

- Asking for ideas – encouraging staff to make suggestions about better ways of doing things
- Having an 'open door' policy regarding suggestions
- Sharing ideas – encouraging others to alert team members to the potential of new practices
- Being prepared to test new ideas – this demonstrates management is prepared to try new ideas as opposed to insisting the old ones are adhered to
- Seeking information and ideas from non-traditional places – such as other departments or other venues (including the competition)
- Thanking people for their contributions
- Taking the time and effort to explain to someone who contributed an idea why their idea was not implemented – as opposed to appearing to simply ignore the suggestion

- Ensuring the person responsible for suggesting an effective new approach receives the credit for doing so – rather than their manager taking the credit.

## *Activity 19 – Involve stakeholders in strategic planning*

Briefly list the methods you will use to encourage staff to continue to contribute to the business strategic planning.

## Identify possible business strategies

It is important to identify the different types of business strategies that can be implemented in an overall business strategy.

Naturally it is important to review the business objectives stated in Section 3.1, as the strategies must be based on these.

Business strategies may include decisions relating to:

- Business growth, including expansions and acquisitions
- Contraction of the business
- Catch-up
- Redirection, including business turnaround
- Maintaining or growing market share
- Moving into new markets
- Refurbishing the property
- Developing new products, services or facilities
- Making changes to or upgrading existing products, services, packages, deals
- Re-positioning the venue in the marketplace in the eyes of the customers
- Addressing specific areas such as:
  - Technology
  - Staffing
  - Funding
  - Marketing
  - Products and services
  - Sales
  - Administration
  - Structure and organisation.


**Examples of strategy development**

Staffing strategies

It is important that the business recruit the best persons to fulfil the positions within the business. A successful business will have staff that are productive, co-operative, take responsibility for their own efforts and work as a team.

Your strategies should reflect decisions that you have made in respect to:

- Recruitment – will you rely on media advertising, referrals, educational institutions, and friends of current employees or your family?
- Probation periods – a trial work period may last from one day to six months
- Remuneration – will you pay hourly, weekly? Are you offering casual or ongoing employment? Are your rates competitive so that you select the right employees? Make sure you allow for legal required entitlements

- Incentive schemes – would you consider a sales bonus, or some other form of incentive?
- Work environment – both physical and social environments need to be considered
- Training and development – what induction and regular ongoing training activities will your business provide?
- Your leadership style – will it be autocratic or democratic?

Sales strategies

The following table shows possible strategies that the Singapore Travel Agency could implement in order to achieve their Sales objectives.

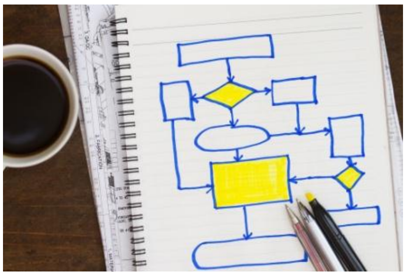
| OBJECTIVE | SMART OBJECTIVES | STRATEGIES |
|---|---|---|
| Develop the business to be the most profitable of its type in the local area | To increase the number of customers by 25% in Year 2, and a further 10% in Year 3 (compared with Year 1 results) | Develop a professional brochure to drop off to local business' by 31 March, and have it delivered by 15 April |
| | | Make sales appointments to new and potential corporate clients |
| | | Advertise in media outlets focused on high end leisure and corporate target markets |
| | To reduce the costs of operating the business by 10% in Year 2, and by a further 10% in Year 3, (compared with Year 1 results) | Identify all costs of the business in the past 3 months (Jan 1 – March 31) by 7 April |
| | | Work with employees and suppliers to achieve potential cost savings ideas by 30 April |
| | | Implement and monitor the performance of cost savings implemented as above each month end commencing 31 May |

## Develop capability statements

One way of identifying what the business can and wants do is to develop a range of 'capability statements'.

These capability statements will specify:

- What the business is able to do – based on the results of the SWOT Analysis
- What its limitations are – as related to issues such as:
  - Physical space
  - Funding – access to money
  - Personal thoughts and preferences of management or the owner
  - Legislated restrictions.



You can see the need to have done an internal analysis of the business, in terms of staff capabilities; expertise and experience, together with an analysis of the facilities and equipment available are an essential pre-requisite for the development of any key organisational capability statements.

Some organisations develop both internal and external capability statements.

**External capability statements**

An external capability statement is statement developed and intended for external consumption by clients and members of the public letting them know what it is the business can do for them.

There is little difference between an internal and external capability statement, in reality, but there is often a significant difference in the way the capabilities are described.

The external capability statement will not only describe the features of the business but also highlight the benefits each product and service can bring to the client. For example:

- Money saving
- Time saving
- Convenience
- Status
- Prestige
- Special deals
- The sense of confidence that comes from using an established business with an enviable reputation and proven track record that has won awards.

The external capability statement is also likely to contain details of your past successes and the basis on which your current reputation has been built.

It reinforces and restates the positives your business enjoys.

As you can see, the external capability statement is more of an advertising tool than the internal one, and these statements are often found in advertising brochures and promotional material.

**Internal capability statements**

Internal capability statements can be generated by businesses to spell out the service, products and special features and offers the business can provide.

Constructing these statements regularly is a useful thing to do as the skills and knowledge staff gain will change over time and what was not possible several months ago may be possible now.

The flow-on from preparing these statements is they can indicate what else the business needs to do to make possibilities into reality. This includes buying new equipment, changing the layout of the agency, revising advertising to promote new products and services.

In this way, preparing key capability statements highlights the limitations a business currently faces and indicates where attention has to be paid if these capabilities are to be translated into reality.

The capability to deliver a new product or service is fine but will never convert into actuality if the equipment technology or knowledge to support it cannot be introduced into the existing business, or are unable to be financed.

However a capability statement identifying you can deliver a nominated service or product gives you your future direction for times when the business is to be re-developed or when extra cash is available.

It is important key internal capability statements are ones which:

- Contribute an appropriate amount to the financial bottom line of the premises – they must be developed with reference to earning revenue or saving money
- Align with the vision and mission of the organisation – they must be appropriate for the image and positioning of the business and do not run contrary to what your espoused position is in relation to issues such as the environment, concern for others, participating in the local community, promoting the interests of the local community
- Align with the wider objectives of the business – in terms of future direction and market position, desire for change or expansion, movement into new markets, market share.

## Undertake gap analysis

When a comprehensive set of key organisational capability statements has been generated, these need to be compared to the expectations your research has shown your customers have about the services, products and facilities you provide or which they want, prefer or expect you to provide.

The central reason behind this step is the more closely you can provide a service, product, or experience your customers expect and want, the more customers you should attract and the more successful you should be.

Where there is a deficit between what the business can provide and what the customers want, this gap represents the potential for improvement or growth facing the organisation.

And it is always important to remember who exactly the customer is, within each specific business context.

**What is in a gap analysis?**

A formal gap analysis will document:

- How the variance, the gap was identified – detailing the information used as the basis for the eventual findings.

  This is usually market research undertaken as part of the external analysis of the business environment.

- The human resources available to provide the products and services the business wants to deliver and can deliver with what is currently available within the business.

  This will name staff currently employed by the business and their skills and competencies to provide or enable the identified gap to be addressed.

- The human resources needing to be obtained to provide service where a gap/deficit exists.

  These are staff the business needs to employ in order to deliver the required services and products unable to be provided by existing staff.

  This description may include identification of necessary qualifications and experience, together with quantification of how many staff are needed and the hours they can be expected to work. The more information that can be provided about the staff requirements at this stage, the better, as it will assist the staff recruitment process.

- The physical resources currently existing to support the provision of both existing and proposed services.

  This can include naming items, systems, technologies and facilities, as well as identification of limitations potentially applying to their use including speed, capacity, integration, limitations when trying to integrate with other systems.

  The physical resources needed to support the extension of existing services or the introduction of new products, packages, deals, destinations and supplementary bookings identified by customers as being necessary

  This will name the items required, quantify them and indicate their cost price together with any additional costs such as installation, training, disruption to existing services during installation.

- How addressing the gap, by purchasing new equipment, employing new staff, engaging in staff training will help the business achieve its stated goal. This 'forces' you to keep what you are doing aligned with the objectives of the business and tries to save the business from making change just for the sake of change. The whole intention of developing these goals and supporting business strategies is to give direction and focus to the business. It thus follows any action taken must accord with those directions and the plans to help attain them

- The type and nature of any business processes needing to be implemented or changed to accommodate the proposed changes.

  This can include changes to bookings systems, the way in which services are delivered, changes required in peripheral or support areas such as cleaning, complimentary services and products, advice, information and security

## Prepare Key Performance Indicators (KPI's)

Identifying a small number of key performance measures (KPI's) that can be regularly monitored is an important step in strategic planning. They provide an early warning system showing progress or lack of it. Being able to graphically represent them is also helpful since the results can be displayed for colleagues and staff to see at a glance.

KPI's need to be directly linked to your objectives; you will have to determine the ones most suitable to your business.

**Types of KPI's**

Suitable KPI's may be:

- Total number of customers
- Total number of customers per department or market segment
- Average dollar spent
- Total revenue per capita
- Sales per product group
- Average sales per day's trading
- Average total revenue per client
- Marketing expense per customer
- Marketing expense and sales revenue per customer from a specific campaign
- Total revenue / full time employee
- Gross profit margin.

## Define and assign roles

It is important that everyone knows what is expected of them. When new strategies are to be implemented everyone must be aware of the roles each person plays.

Depending on the role of each staff member within the implementation process, they must be made aware of what is expected of them. This includes a detailed understanding of their roles and responsibilities including:

- Structure of the project time
- Level of responsibility and authority
- Start dates of change
- Expected completion date
- Pre-change activities including attending meetings, reading job descriptions etc
- Activities to be performed
- Resources required to implement the plan
- Work breakdown
- Involvement of other staff
- Training to be taken

- Support mechanisms
- Expected standard of performance
- Milestones for completion
- Budgets to work within
- Methods of communication
- Making observations
- Providing feedback.

By having clear roles and responsibilities, it helps to eliminate confusion of what each person is to do.

## Identify support and resources required to support implementation of new strategies

Any time change takes place resulting from the implementation of new strategies, whilst in the long term it will benefit the organisation and staff involved, it will cause disruptions and make activities harder for staff in the short term. This is evident not only as the actual change takes place, but as staff try to understand and become familiar with the new way of doing things.

It is especially important that during this stressful time, that management play an active role in leading and supporting the team as a whole and individuals who may need assistance.

There are many ways a manager can provide assistance and support, however at the end of the day, the aim is to enable staff to be able to learn and implement new changes into the workplace.

During this period, you must manage the twin functions of ‘group task’ and ‘group maintenance’.

**Task functions**

‘Task’ functions of leadership involve leading the group successfully understanding and performing new activities associated with change. Factors included here are:

- Setting plans to help staff achieve the set change goals
- Passing on facts and skills
- Offering ideas and information
- Seeking opinions
- Giving directions
- Getting the individuals within a group to function as a cohesive unit
- Coordinating activities
- Clarifying goals as they progress through the change process.

### Maintenance functions

'Maintenance' functions centre on ensuring that staff continue to work harmoniously and that there are good working relationships among the team. This includes your being involved in:

- Provision of positive feedback to staff – to help keep them interested, engaged and motivated
- Giving encouragement – either verbally or non-verbally
- Raising enthusiasm amongst the team – to make them aware that they can achieve what is required, and to provide motivation during the tough times when they might be tired, frustrated or disinterested

- Maintaining a safe, secure and supportive physical and emotional environment – physical safety is, of course, important, but so, too, is the need to provide emotional support when staff find the going tough or when they feel dispirited
- Acknowledging contributions and efforts made by staff – the important thing is to provide acknowledgement for effort and not just for success
- Using humour as a motivator and means of reducing tension – this can assist in maintaining momentum and getting staff to have another go at something they may have previously not succeeded in
- Sensitive and non-judgemental communication – it is very important that whatever is said to staff cannot be misconstrued in any way. Your role is to support, encourage, nurture – not to criticise or put people down

- Frequent, accurate and encouraging feedback – which means finding something to provide a positive comment about even when staff are unable to achieve the set objective
- Allowing staff to make mistakes and create an environment where it's okay to do so.

# *Activity 20 – Prepare business strategies*

For two objectives you have identified, you are to prepare and outline business strategies for you would introduce to your organisation.

You are to explain:

- Identify the objectives
- Identify the strategies to meet these objectives
- Prepare Key Performance Indicators (KPIs)
- Define and assign a role for the implementation of these strategies
- Identify support and resources required to support implementation of new strategies

# 3.4 Communicate business strategies to relevant stakeholders

## Introduction

Once business strategies been finalised, it is now time to present the final version to relevant stakeholders.

Depending on the type of the business strategies, the nature of stakeholders will vary.

## Stakeholder considerations

Regardless of the stakeholder, the presentation stage is critical as it is often the first time the stakeholder may be.

No doubt they will want to:

- Get a clear understanding of the business strategies
- Ensure that all key concerns have been considered
- Understand the benefits of the business strategies
- Understand how the business strategies will benefit them
- Understand how the business strategies will impact on them
- Understand their role in implementing the business strategies
- Any potential problems identified
- Have their concerns addressed
- Be excited and reassured about the business strategies.

## Types of stakeholders

Relevant stakeholders may include:

- Clients
- Business partners
- Colleagues
- Staff
- Superiors
- Suppliers / vendors
- Team leaders
- Team members
- Venue operator / lessee

## Communicate business strategy information

As mentioned above, there are many stakeholders who will need to understand the details of the business strategy that is being introduced. This is essential to ensure that key aspects of business plans are not only communicated with others but also understood by them.

These aspects can therefore include:

- Key vision of the strategies
- Reasoning or purpose behind the business strategies
- Background information - including research methodology and facts gathered
- Business objectives - which may include sales figures, revenues, delivery times and service standards
- How the strategies will be implemented
- Roles and responsibilities of key stakeholders
- Timelines
- Support mechanisms.

## Communicating business strategies to stakeholders

The communication of new business strategies may occur in various ways.

The key to communicating these changes is the communication must be planned.

This is especially true when explaining business strategies to staff as they will be stakeholder who will be impacted the most.

Your approach should follow these guidelines:

- Hold a formal staff meeting to inform stakeholders of the business strategies – if they have been actively involved in the development process then the concept should not come as anything new to them
- Using small group information sessions
- Disseminating via computerised communications
- Making verbal presentations and explanations
- Providing the strategies through in-house publications
- Remember it is important not only to explain the purpose of the business strategies but also explain why it will be beneficial
- Give them a hard copy of the new business plan or strategies, either in its entirety of the parts specific to the stakeholder– give them everything that is applicable to their area such as:
  - Copies of plans
  - Copies of standards
  - Copies of policies
  - Copies of procedures

- Explain the changes – tell them how the ‘new’ business strategies differs existing operations. Be specific
- Tell them about the dates for introducing the new business strategies implementation
- Reassure them they are not required to implement the changes ‘tomorrow’
- Inform of the training being provided to support implementation of the new business strategies requirements – let them know when and where the training is happening, what it will involve, who will be leading it
- Encourage questions about the business strategies – answer them fully and honestly
- Make yourself available outside this meeting to talk to if they have concerns regarding the business strategies
- Include new policies, procedures etc in operational manuals, induction programs and in-house training.

## *Activity 21 – Communicate business strategies*

Briefly describe how you will communicate the business strategies you identified for implementation in your business in a timely manner.

# Work Projects

It is a requirement of this Unit you complete Work Projects as advised by your Trainer. You must submit documentation, suitable evidence or other relevant proof of completion of the project to your Trainer by the agreed date.

3.1 Please complete the following activities relating to this Performance Criteria:

- Activity 17

3.2 Please complete the following activities relating to this Performance Criteria:

- Activity 18

3.3 Please complete the following activities relating to this Performance Criteria:

- Activities 19,20

3.4 Please complete the following activities relating to this Performance Criteria:

- Activity 21

# Summary

## Define and implement business strategies

**Formulate business objectives for individual business units**

- Identify business units requiring objectives
- Develop SMART objectives
- Types of objectives

**Review existing business strategies**

- Reviewing previous business plans and strategies
- Documents to review

**Develop business strategies relating to established strategic objectives for the organisation**

- Steps in developing business strategies
- Involve stakeholders
- Identify possible business strategies
- Develop capability statements
- Undertake gap analysis
- Prepare Key Performance Indicators (KPI's)
- Define and assign roles
- Identify support and resources required to support implementation of new strategies

**Communicate business strategies to relevant stakeholders**

- Stakeholder considerations
- Types of stakeholders
- Communicate business strategy information
- Communicating business strategies to stakeholders

# Element 4:
# Review the effectiveness of business strategies

## 4.1 Review established strategies

### Introduction

In order for a travel and tourism organisation to be successful in being able to provide the highest quality of service whilst still making an adequate financial return for investors, it is vital that every aspect of the operation is operating to the best of its ability.

Therefore management must constantly review the performance of all areas that contribute to the implementation of business strategies.

Once business strategies have been developed and implemented, this does not mean the business strategy cycle has finished.

It is important that business strategies are reviewed on a regular basis.

In the natural evolution of business activities, changes to business strategies will need to take place to reflect changes in operations and direction.

The causes of these changes may be guided by external or internal influences. Some of these were identified during the SWOT Analysis process.

In order to do this, activities must be reviewed to find out:

- What is being done correctly
- What needs improvement, by identifying causes and remedy.

### Aims of reviewing business strategies

Aims of reviewing business strategies and activities include:

- Identify the actual progress against original business strategies
- Identifying areas which are being done well and rewarding accordingly
- Identifying where areas of operations can be improved through:
  - Identification of problems
  - Understanding the cause
  - Finding suitable solutions
  - Selecting the correct solution
  - Implementing and monitoring the solution.

## Timing of business strategy reviews

Whilst the frequency of business strategy reviews will vary depending on the type of organisation and requirements by management, however they may be based on:


- Quarterly reviews
- Business plan cycle
- Performance reports
- Major events triggering a review, e.g. Change in market-place.

**Reviewing of the various business plans and strategies**

| Section | Frequency |
|---|---|
| Business Plan | Ongoing |
| Strategies | Ongoing monitoring change in light of changed external conditions |
| Objectives | Quarterly (every 3 months) |
| Action Plans | Monthly/weekly by supervisor, daily by responsible person |
| Financial Plan | At least monthly to check cash flow |


### *Activity 22 – Identify timelines for business strategy reviews*

Draw up a timetable that shows how frequently you will review and amend your business strategies.

# 4.2 Include multiple perspectives and information sources in determining the effectiveness of strategies

# 4.3 Evaluate the effectiveness of the strategies

## Introduction

The key to reviewing and evaluating the progress of business strategies is to be proactive. You should actively seek to review and evaluate the progress and effectiveness of the implementation of strategies as opposed to simply passively receiving whatever progress reports happen to come your way.

Physically go and talk to people, make sure those involved notice you taking an interest and know you are reviewing progress.

If you have developed clear measurable objectives and performance criteria, the reviewing and evaluation process need not be an overly difficult or time-consuming exercise.

It is essential reviews and evaluations are scheduled at an agreed time or stage, as identified in Section 4.1, to answer the following questions;

- Are we on track?
- Have we achieved what we planned?
- Are any variations acceptable, or do they require action?
- Were the original objectives realistic and achievable?
- Have we improved our strategic planning ability through these actions?

The methods chosen for reviewing and evaluate the implementation and performance of business strategies are generally built into the planning process. It is a good idea when planning to keep in mind the reporting on the success or otherwise of objectives. It is frustrating to set objectives but not be able to say whether or not it has been achieved.

These methods can:

- Identify problems
- Help resolve problems
- Provide guidance.

## Steps of reviewing and evaluating effectiveness of business strategies

In essence the steps associated of review and evaluation:

- Assessing performance against the attainment of established indicators, including objectives, use of resources, timelines, execution of allocated responsibilities and budgets
- Seeking opinions from relevant stakeholders
- Validating conclusions reached in relation to strategy performance.

## Methods used to review and evaluate the effectiveness of business strategies

There are many tools or methods available to review progress and effectiveness of implementation of activities against the original strategies.

The methods include, but not limited to:

- Reading and analysing information sourced – including legislation, industry data and reports, best practice information, new market research information, revised internal policies and procedures
- Using a pretend customer
- Observation
- Interviews with stakeholders
- Surveys
- Focus group interviews
- Discuss progress
- Solicited and unsolicited feedback
- Research on existing programs
- Organisational reviews
- Workforce management data
- Statistical data - including sales, bookings and profit
- Comparisons with Key performance indicators
- Checking of documentation - including budgets and reports
- Verifying time sheets
- Brainstorming sessions
- Staff input and review
- Checklists
- Flowcharts
- Benchmarking
- Gap analysis
- Compliance reports.

# Activity 23 – Identify review and evaluation methods

Briefly describe the review methods you would you to evaluate the success of the implementation of business strategies.

______________________________________________________________________________

______________________________________________________________________________

______________________________________________________________________________

______________________________________________________________________________

______________________________________________________________________________

______________________________________________________________________________

| REVIEW / EVALUATION METHOD | FOCUS OF THE REVIEW / EVALUATION |
|---|---|
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## Types of performance indicators

Organisation's key performance indicators are a set of metrics which organisations can use to measure their performance of service operations.

In this manual to date we have looked at many objectives that can used to measure the success of business plan implementation. Again these can relate to:

- Market share
- Sales figures
- Customer satisfaction
- Growth
- Profitability
- Turnaround times
- Output rates
- Quality rates
- Customer feedback
- Equipment usage rates
- Lead times and down times
- Compliments-complaints ratio
- Customer Satisfaction Index (CSI).


## Types of performance gaps

In Section 1.5 we looked at the different types of underperforming products and services. As part of the evaluation and review process you may also identify performance gaps that emerge as business strategies are implemented. It is vital that these are identified and addressed. The types of performance gaps that may arise in a travel and tourism organisation during the implementation of business strategies are endless but common examples include:

- Product or service failures
- Long wait times for service
- High volume of customer traffic
- Inaccurate or conflicting information provided to customers
- Lack of follow-up action by customer care representatives
- Aggressive cross-selling or up-selling by customer service representatives or sales persons
- Lack of resources required to implement service operations
- Resource constraints
- Conflicts in priorities
- Lack of information
- Supplier delays

- Differences in opinion
- Interpersonal conflict
- Hazardous events
- Time constraints
- Shortfalls in expected outcomes
- Poor staff performance.


Now that any performance gaps have been identified it is now time to make recommendations for their improvement or resolution.

The next section will explore this process in more detail.

# 4.4 Make recommendations for enhancements to strategies and plans

## Introduction

Once the review and evaluation process has been completed there will be a range of calculated recommendations that can be made for future strategic success.

This involves identifying the necessary adjustments to improve the level of service, productivity or customer satisfaction.

This will normally include making recommendations to management or a board for variations to strategic and operational plans.

## Steps associated with making recommendations

Whilst every organisation will have their own steps, policies and procedures for making recommendations, common steps include, but not limited to:

- Targeting recommendations to evidence-based outcomes
- Reviewing internal and external business environment factors
- Revising organisational policies and procedures
- Revising goals, objectives and targets
- Recommending changes in strategic directions for the organisation.

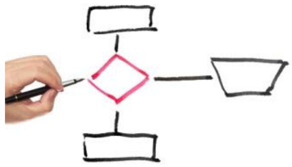
## Identify types of recommendations

The following are often included among the recommendations flowing the review and evaluation process:

**Suggestions as to what to do to leverage on identified strengths**

- Plans for same – timelines, actions, proposed responsibility, KPIs for implementation
- Cost or resources required
- Benefits flowing as a result – including when these are expected to occur
- Recommendations for extending identified strengths or transferring them to other properties or departments
- Exploiting a deficiency or weakness in competition in the marketplace.

**Recommendation to address identified weaknesses**



- Identification of weaknesses which should be addressed
- Explanation of why 'other' weaknesses should be ignored
- Plans for addressing them – see above plus action to limit further/future negative outcomes
- Cost and resources required.

**Strategies for addressing identified opportunities and threats**

- Costed options for action – including identification of any external funding which may be available
- Plans for same.

**Recommendations for capitalising on golden opportunities**

These are opportunities which:

- You have a realistic chance of achieving
- Are unlikely to present themselves again.

**Recommendation, as identified/supported by the evidence, for introducing, modifying or removing:**

- Certain internal processes – operational, reporting, SOPs
- Identified personnel – through training, adding or reducing staff/hours
- Nominated systems or technology.

**Recommendations for changing the organisational structure of the business**

- Revising the organisational structure
- Re-writing job descriptions and job specifications
- Revising the public statements for the business
- Reviewing team structures or composition.

**Recommendations for:**

- Re-design of the management framework
- Revisions to the business model of the organisation.

**Recommendations to enable greater compliance with:**

- Legislated obligations
- Company policies and procedures
- Expectations of key stakeholders.

**Recommendations to address future activity in relation to areas**

- Identified hazards and risks
- Delivery of service and products to a set standard/criteria
- Specific problems faced by the business when the situational analysis was undertaken or which, in fact, may have given rise to the need for a situational analysis in the first instance. These may relate to certain aspects/departments of the business. For example:
  - Staff training
  - Low levels of traffic, bookings or customers
  - Stock control
  - Pricing
  - Staffing
  - Communication – internally and externally.

## Recommending short and long term corrective action

As part of the recommendation process you have identify both short and long term solutions to performance gaps, as identified in the previous section.

Where service is paramount, it is sometimes necessary to take short term action to solve a problem until it can be looked at more closely and the problem dealt with more thoroughly.

**Short term corrective action**

Reasons for this include:

- Pressure of work often means there just isn’t time to stop and analyse the problem more carefully and in more detail
- To provide the necessary or expected services to the customer
- To meet OSH requirements
- To deal with a complaint
- To get staff working together again
- To give you time to analyse and work through the problem at a later date.

Usually these stop-gap measures are not satisfactory in the long term as they are often more costly and they do not prevent the problem from recurring.

**Long-term corrective action**

There may be a number of corrective changes to be made including, but certainly not limited to:

<u>Management changes</u>

- New management
- Change in orientation to service
- Setting of some new directions in relation to several other factors
- New management focus.

<u>Organisational re-structures</u>

- Change of personnel structure
- Elimination of positions
- New job roles
- Changes in job roles
- New knowledge or skills.

Introduction of new equipment

New equipment means:


- Possible interruptions to operations for installation
- Training for staff
- Requires that staff can explain the new equipment to customers
- Changes in job roles
- Changes in procedures
- Changes to workflow.

Recruitment practices

- Need to establish comprehensive job descriptions and job specifications
- Seeking of new knowledge and skills
- Change advertising strategy
- Revised interviewing and selection process
- Revised selection criteria.

## Inclusions in a recommendation

Now that we have identified a wide variety of recommendations that can be made, it is now time to put them into the appropriate format for presentation to appropriate stakeholders.

In general terms, the more costly the recommendation, in terms of funding and other resources, the greater the need for a more formal style of recommendation such as providing a proposal that:

- Detail the problem that is at the root of the recommendation
- Highlights any legal compliance requirements that may be included
- Describes the negative impacts of the above situation – which may include, for example, the need to lay off staff, the need to increase prices, the eventual result if the current situation is allowed to continue for 12 months
- Identifies specific revised targets – which should reflect the initial targets set by the business and operational plans that are facing difficulty such as (as appropriate) income, expenditure, percentages, items sold, etc.

- Sets revised flags to warn of unacceptable deviations to the revised targets – this will help identify revised circumstances when actual performance has deviated unacceptably from revised budgeted or figures
- Presents options for rectifying the position – it is always useful to present more than one possible solution wherever possible

- Sets out implementation costs for each recommendation or option – this should include training, 'change over' costs where staff, etc. are operating at less than optimum during a transitional phase and have to be allowed time to get up to speed
- Identifies the benefits of each recommendation or proposal – which can include savings, extra earnings, maintenance of service standards, reducing staff turnover, meeting compliance requirements, increased safety, and raised public image/profile of the business.
- Supplies a formal cost-benefit analysis
- Gives realistic timelines for introduction and implementation.

## *Activity 24 – Identify solutions to performance gaps*

Briefly describe recommendations you would make to resolve the following performance gaps, as identified in the previous section.

| TYPE OF PERFORMANCE GAP | RECOMMENDATION/S |
|---|---|
| Product or service failures | |
| Long wait times for service | |
| High volume of customer traffic | |
| Inaccurate or conflicting information provided to customers | |
| Lack of follow-up action by customer care representatives | |
| Aggressive cross-selling or up-selling by customer service representatives or sales persons | |

| TYPE OF PERFORMANCE GAP | RECOMMENDATION/S |
|---|---|
| Lack of resources required to implement service operations | |
| Resource constraints | |
| Conflicts in priorities | |
| Lack of information | |
| Supplier delays | |
| Differences in opinion | |
| Interpersonal conflict | |
| Hazardous events | |
| Time constraints | |
| Shortfalls in expected outcomes | |
| Poor staff performance | |

## *Activity 25 – Identify methods to communicate recommendations to stakeholders*

Briefly explain how you intend on a regular basis to advise your stakeholders of the business' performance and to make recommendations.

______________________________________________________________________________

______________________________________________________________________________

______________________________________________________________________________

______________________________________________________________________________

## Implementing recommendations

Where the review of business performance has resulted in recommendations being made for change to business strategies, plans or operations, it is necessary to ensure these recommendations are implemented.

The following explores the considerations associated with the implementation of recommendations and action taken to monitor the changes and the need to review the changes.

**Activities potentially involved in implementing recommendations**

Activities can include:

- Re-writing policies or procedures as required and replacing previous versions
- Preparing new or revised checklists
- Posting copies of requirements within the working areas
- Holding staff meetings to advise of the revisions
- Including changes to revised in-house training
- Including changes to revised Induction procedures for new staff


- Notifying customers as appropriate – signage within the premises, listing on the web site, direct mail, e-mail notification, speaking face-to-face them.

**Monitoring implementation**

Action then has to be taken to ensure the new recommendations are being complied with using activities such as:

- Personal observation
- Feedback from others – other supervisors, staff and customers
- Checking documentation.

Where there is a need for the business to revise what has already been a significant change to policies or procedures this can be a potentially unsettling time for staff.

Not only are they often being asked to change their standard operating procedure again, something they often dislike and find personally challenging, but they may also start to wonder whether or not management has lost its way in terms of the business.

It is vital under these circumstances you stay alert for signs of this and act quickly and positively to re-affirm the competency of management and the future viability of the business.

It is important to explain these changes were anticipated and that failure to act, failure to alter the way things are done, failure to admit there have been errors would have been indicative of incompetency.

The very fact remedial action is being taken actually demonstrates management competency and indicates they are aware of what is going on.

**The need to review the recommendations**

In the same way the initial plans and strategies may have been found wanting, so too may the same apply to recommendations were made to address these needs.

The point being there is no guarantee remedial action will always address the issues identified or bring the strategy back on-track.

This therefore necessitates all remedial action taken must also be subject to review to determine whether or not further revisions are necessary.

In many ways, the review and revision process can be seen as cyclical in nature. You plan the action to take, monitor the effect or impact of the action, and then on the basis of evidence gathered determine if further adjustments need to be made.

In practice, this process is on-going.

# Activity 26 – Implementing a recommendation

For one of the recommendations that you have identified in Activity 24, briefly describe the activities or considerations associated with its implementation.

# Work Projects

It is a requirement of this Unit you complete Work Projects as advised by your Trainer. You must submit documentation, suitable evidence or other relevant proof of completion of the project to your Trainer by the agreed date.

4.1 Please complete the following activities relating to this Performance Criteria:

- Activity 22

4.2 Please complete the following activities relating to this Performance Criteria:

- Activity 23

4.3 Please complete the following activities relating to this Performance Criteria:

- Activity 23

4.4 Please complete the following activities relating to this Performance Criteria:

- Activities 24,25,26

# Summary

## Review the effectiveness of business strategies

**Review established strategies**

- Aims of reviewing business strategies
- Timing of business strategy reviews

**Include multiple perspectives and information sources in determining the effectiveness of strategies**

**Evaluate the effectiveness of the strategies**

- Steps of reviewing and evaluating effectiveness of business strategies
- Methods used to review and evaluate the effectiveness of business strategies
- Types of performance indicators
- Types of performance gaps

**Make recommendations for enhancements to strategies and plans**

- Steps associated with making recommendations
- Identify types of recommendations
- Recommending short and long term corrective action
- Inclusions in a recommendation
- Implementing recommendations

# Element 5: Manage risk associated with business strategies

## 5.1 Identify risks associated with implementation of strategic plans

### Introduction

Identifying and analysing risks are an essential part of strategic planning. There are many risks that will impact on an organisation. Some that are created within the organisation itself, whilst others coming from external sources.

Not all risks are the same. Some risks may be very unlikely to actually occur whilst others will be a daily part of an operation. In addition the severity of the risk and likely injury will differ.


Therefore different risks will need different levels of attention.

This section will explore the different types of risks and the strategies used to manage them.

### Definition of risk

A risk can be seen as any hazard or source of danger that has the potential to adversely impact on the operation or outcomes of the organisation.

### Risk management

Risk management has become a vital aspect of many businesses over the years.

Risk management is the term used to describe the various activities and practices the business undertakes to address those hazards or sources of danger.

Risk management is a logical and systematic process of identifying, analysing, evaluating, treating and monitoring risks related to any strategy plan, process, program or procedures that will enable the organisation to minimise losses and maximise opportunities, leading to a continual reduction in potential and actual adverse impacts on the operations of the organisation

It has gained acceptance and popularity with organisations who seek to be proactive in their approach to business as opposed to being reactive.

Participants are advised that this unit does not identify specific risks for specific businesses.

In addition it does not provide the 'solutions' to risks. It presents the process that an organisation needs to follow to put in place an effective risk management strategy of its own that will address the risks it identifies for itself.

## Types of risks

Anything that can impact on the operation of the business is a risk.

As previously mentioned, there are many types of risks that may impact on a travel and tourism organisation.

**Internal and external risks**

This means the risk may be internal or external.

External risks include things outside the control of the organisation and over which it has no control, be it the economy, legislation, activities of the competition etc.

Proper risk management means not only identifying the obvious risks but also those that are hidden or not so visible.

Internal and external risks will be described in more detail later in this section.

**Real and perceived risk**

A real risk is something that actually impacts on the goals and objectives of the business.

A perceived risk is something that a stakeholder believes has impacted on the goals and objectives of the business but, in reality, has not. It may have impacted on the business in some way, but it has not adversely affected the targets that were set for the business.

**Random risk**

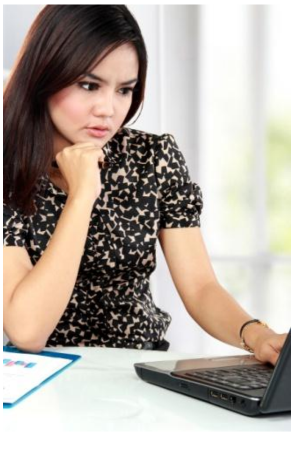
The reality of risk is that there are random events.

Many of these are unpredictable. Many cannot even be described.

Risk management however requires you to consider their existence and decide if they require attention in your context.

The use of a risk assessment matrix, as shown later in the section, acknowledges the existence of random events by including a column titled 'Highly unlikely to occur'.

The point being that even random events must be listed and considered.



**Inherent risk**

These are classified as risks to an organisation in the absence of any management actions to alter the risk's likelihood or impact.

**Residual risk**

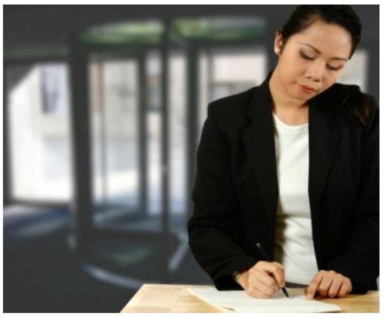
These are classified as risks that remain after management's response to risk.

## Types of internal risks

Internal risk may relate to:

**Infrastructure**

- Availability of assets
- Capability of assets
- Access to capital
- Complexity
- Capital allocation for preventive maintenance
- Equipment downtime.



**Employees**

- Employee capability
- Fraudulent activity
- Health and safety
- Workplace incidents
- Fraudulent activities
- Labour agreements
- Availability of employees
- Monetary or reputational damage
- Tightness of production timelines.

**Process**

- Capacity
- Design
- Execution
- Suppliers / dependencies
- Process modification and change protocols
- Process execution errors
- Outsourcing services
- Market share
- Efficiency
- Customer satisfaction
- Repeat business.

**Business operating systems**


- Policies and procedures
- Plans and strategies
- Checklists
- Operational guidelines
- Standard operating procedures
- Job safety analysis worksheets.

**Technology**

- Data integrity
- Data and system availability
- System selection
- Development
- Deployment
- Maintenance
- Resources to handle volume volatility
- Security
- System availability
- Backlogs
- Sustainability of business operations.

**Strategic**

- Objectives
- Directions.

## Types of external risks

External risk events may relate to:

**Economy**

- Price movements
- Capital availability
- Lower barriers to competitive entry
- Higher cost of capital
- New competitors
- Capital availability
- Credit issuance, default
- Concentration
- Liquidity

- Financial markets
- Unemployment
- Competition
- Mergers and acquisitions.

**Supply and demand**

- Labour
- Physical resources
- Finances
- Services.

**Natural environment**

- Flood
- Fire
- Earthquake
- Emissions and waste
- Energy
- Natural disaster
- Sustainable development.

**Politics**


- Governmental changes
- Legislation
- Public policy
- Regulation
- Government officials with new political agendas
- Laws and regulations
- Access to foreign markets
- Taxes.

**Industry and business associations**

- Contractual requirements
- Industry codes of practice
- Industry 'Best practice' requirements
- Industry agreements etc.

**Society**

- Demographics
- Customer behaviour
- Corporate citizenship
- Privacy
- Terrorism
- Changing demographics
- Social mores
- Family structures
- Work / life priorities
- Change in demand for products / services
- Buying venues
- Human resource issues.


**Technology**

- Interruptions
- Electronic commerce
- External data
- Emerging technology
- Means of electronic commerce
- Availability of data
- Infrastructure cost
- Demand for technology-based services
- Suppliers' / vendors' performance.

## Risk management steps

All businesses should have a risk plan in place which identifies, evaluates and manages all the potential hazards and exposures to loss that a risk may cause.

This process involves:

- Identify and document the risks associated with the business
- Analyse the risks associated with the business
- Categorise the risks associated with the business
- Establish reporting procedures for your business
- Identify training and education opportunities for you and your staff.
- Monitor activities to identify potential risks
- Minimise and remove risks in accordance with agreed strategies.

# *Activity 27 – Explain risk identification process*

For you tourism organisation you are to identify techniques that can be implemented to identify risks.

Consider:

- What are common types of risks that may exist in your organisation?
- How can you identify risks?
- How might they be arranged or organised?
- Who might be involved in the specific risk identification process?
- What might be required?
- What documentation might be needed to capture information?

# 5.2 Access information sources in relation to identified risk

## Introduction

A variety of options exist for organisations to select from in relation to their risk management decision making for identified risk and the calculation of risk levels.

There are several methods, techniques and tools available for an organisation to use.

It is important, however, to remember that the following options cannot be used in isolation. They must be employed in conjunction with stakeholder contribution. It is the input from stakeholders that will give legitimacy to the results and outcomes that the tools generate.

It is also important to bear in mind that the tools used provide only a 'recommendation'.

## Identify stakeholders in risk identification

In terms of risk management 'relevant stakeholders' can be seen as anyone, whether internal or external to the organisation, who is impacted by, or who impacts on, the business.

Stakeholders may comprise a series of individual people or groups of people.

Generically they can be seen to encompass:

- Employees
- Managers
- Volunteers
- Unions
- Financial managers
- Customers
- Suppliers
- Contractors
- Service providers
- Community organisations
- The public
- Other businesses.

For stakeholder feedback to be effective and comprehensive, the more stakeholders applicable to your business who are involved, the better.

It is also worth highlighting that it is unwise to believe stakeholders will have nothing useful to contribute.

Always guard against any belief that 'you' or management know best or have all the relevant views, concerns, issues etc already fully identified.

**Importance of consulting with stakeholders**

The act of consulting allows a two-way flow of information which is important in risk management.

Consultation enables the organisation to obtain input from the stakeholders and it allows the organisation to provide information to the stakeholders.

It is useful to bear in mind that the information flow is therefore not just one-way – that is, from stakeholders to the business. Consultation also permits the organisation to explain and inform.

Reasons for consulting with your stakeholders include:

- To gain a better understanding and appreciation of the identified risks that face the organisation
- To obtain their input regarding risk considerations that should be taken into account
- To gain a better context for risk as it relates to the organisation
- To obtain different perspectives regarding risk-related issues
- To enable management to demonstrate it has discharged its due diligence requirements
- To enable the different perceptions relating to risk held by different stakeholders to be accommodated – or at least demonstrably considered

- To allow the organisation to explain decisions it may have already taken in relation to risk management – and the basis for those decisions such as previous experience, legal obligations, company policy etc
- To allow the organisation to explain any action it may have already taken in relation to risk management – which may have been forced on it by legally imposed timing imperatives, presence of identifiable and immediate risk, options for action that were limited by time
- To allow the organisation to inform internal stakeholders of their anticipated roles and responsibilities under what is emerging as likely risk management activities.

## *Activity 28 – Identify stakeholders in risk identification*

Make a list of the people and organisations that you believe should be involved as stakeholders in your risk management consultations.

## Techniques for risk identification

Specific techniques that can be used to identify risks include:

- Analysis of existing business documentation – analysing an assortment of reports, claims, audits, revenue and expense statements, warranties and guarantees
- Doing a comprehensive organisational safety and risk audit – across all levels of the business
- Testing of equipment, plant and machinery used by the business – to see if it is safe, if it conforms to relevant standard requirements
- Using an external, professional risk consultant – this is becoming more popular as they are increasingly seen as individuals with specialised knowledge, experience etc. Their involvement can also demonstrate impartiality
- Reviewing existing risk management strategies – to determine their ongoing applicability to what are likely to be changed circumstances and risks
- Visiting the competition and observing what they are doing – it is surprising how often a risk that exists at your venue can only be identified when it is seen in another venue
- Touring the local area to identify activity from competitors and potential
- Contacting the council to identify any new planning applications that have been made

- Consultation with stakeholders – consultation should be a characteristic of risk management throughout the life of all the risk management activities. Consultation isn't something you can 'do once', tick the box and then go ahead and never consult again
- Brainstorming
- Process charting – using techniques such as 'fishbone diagrams' to identify links between 'cause' and 'effect' relating to identified risk
- Flow charts – another very visual option that is useful in helping to identify delays, 'roadblocks' and other factors which may negatively impact on the ability of the organisation to achieve its stated objectives
- Critical thinking techniques – especially using the 'What if' approach
- Focus groups
- Personal workplace observation
- Reviewing any previous risk management work that has been done
- Seeking advice from peak industry bodies – for your specific industry sector. Risk management is a big thing and many peak bodies have loads of useful advice. This is regarded as 'benchmarking'

- Using your personal network of contacts – while risk management is a very individual thing it always pays to speak to several of your industry contacts to see what they have done and to seek advice as to what risks they have sought to manage. This approach also has the benefit of allowing you to benefit from any mistakes they have made in the past
- Computer modelling - where risk management software is used to assist in the risk analysis process Some packages focus on generic risk management or analysis while other focus exclusively on one area, such as financial, OSH etc.
- Sensitivity analysis -this is a technique designed to assist in identifying the most and least significant risks that a business faces so that informed decisions can be made about the priorities for addressing risk.

  This tool also helps to rate issues that have been raised as uncertainties in the whole process. In many cases, sensitivity analysis is used solely to verify or validate decisions about risk and risk levels that have already been taken
- Structured interviews - a structured interview is one where the same set of questions or issues are raised with all those who are interviewed. They are often used when there is heated debate and substantial difference regarding a risk in terms of its likelihood or consequence.

  Experienced interviewers should be used who have the expertise to identify additional points that are raised in the interviews that merit consideration or inclusion even though not specifically targeted by the set list of questions.

  The data obtained via the structured interviews is then analysed and used as part of the decision making process
- Questionnaires - may be used to distribute questions about risk to a wider set of stakeholders with the aim of gathering feedback and input from a greater number of respondents.

  Questionnaires can be used to break deadlocks on issues in much the same way that structured interviews are used.

  Questionnaires are preferred by some as they are less expensive to administer but traditionally response rates are poor, and the nature of them rarely allows for follow-up of points that should be followed-up
- Fault trees - referred to as FTA (Fault Tree Analysis) this is used primarily when reliability and safety is an issue.

  ‘Trees’ are drawn in much the same way as an organisational chart is drawn with the diagrammatic and visual approach helping some people to better understand the issue being considered.

  The approach lists an undesirable event at the top of the tree (every undesirable event needs to have its own fault tree developed just for that event) and asks users to determine possible causes for that event.

  The branches of the tree are developed as a result of ‘and’/’or’ gates (or decisions) relating to identified hazards that lead to the unwanted event occurring.

  In practice, every undesirable event has possible causal factors attributed to it, and then those have ‘contributing’ factors allocated to them.

Analysis using this approach should identify better ways to manage the identified risk inherent in the undesirable event by virtue of being able to describe faults that cause problems with references to their logical path

- Analysis of consequences - the analysis of consequences is arguable the most used technique especially in small business in relation to risk management methods and tools that are used.

  As its name implies the approach asks users to analyse what they believe to be the consequences of acting, not acting or taking identified action in relation to a nominated risk.

  Consequences commonly considered include loss of money, time, labour and intangibles.

## *Activity 29 – Identify risk management techniques*

For your organisation, identify which three risk management techniques you would use, providing reasoning for your selection.

| RISK TECHNIQUE METHOD | REASONING |
|---|---|
| | |
| | |
| | |

# 5.3 Assess risk levels

## Introduction

Risk analysis is the process of examining identified risk so that the organisation can understand and appreciate the totality of each risk, considering factors such as scope, nature, impact etc in order to use this information as the basis for calculating the risk level that each risk presents to the business.

Some risks will require more time, attention and analysis than others.

## Risk analysis activities

Activities associated with analysing risks may involve:

- Estimate likelihood of risk - possibility that events may occur
- Estimate consequences of risk - effect of risks on organisational objectives
- Risk profiling
- Determining acceptable and unacceptable risks
- Classifying the level and extent of the risk
- Risk prioritisation
- Balancing risks against opportunities afforded by taking the risk.

## Consequences and Likelihood

Risk analysis involves combining the likelihood of a risk occurring with the consequences of that risk for the organisation to produce a risk level.

The risk level will determine whether the risk is acceptable or unacceptable and provide direction as to what risk management action should be taken in respect to that risk.

**Likelihood**

When considering the likelihood of risks various options exist but they are essentially variations on a theme.

One standard classification of likelihood is:

- Almost certain
- Likely
- Possible
- Unlikely
- Rare.

The classification of each risk into one of the above categories must be done on the basis of:

- Information obtained from determining the context
- Personal experience
- Previous history
- Occurrences that have occurred in similar businesses.

Consideration of 'likelihood' includes consideration of 'frequency' of the risk.

**Consequences**

Again, when seeking to label the consequences that may apply from a risk occurring there are a number of different options that exist, all of which may be regarded as variations on a theme.

One commonly used classification of consequences is:

- Insignificant
- Minor
- Moderate
- Major
- Catastrophic.

It should be remembered that consequences can be negative or positive. They are not always negative and that the one risk can have more than one set of consequences.

**Variations**

Levels of risk may also be calculated and displayed in:

- Numerical form - such as 1 – 10: acceptable – unacceptable level
- Colour form where:
  - Red = high risk level
  - Amber = medium risk level
  - Green = low risk level
- Other letter form – in which variations exist:
  - L = Low risk
  - M = Medium
  - H = High risk
  - E = Extreme risk.

## Risk assessment matrix

A model risk assessment matrix is frequently used to assist in these determinations in which the 'Severity of Consequences' are listed along one axis and 'Likelihood of occurrence' (probability) are listed along another for each identified risk.

Each identified risk needs to be assessed using this matrix.

| | Consequence | | | |
|---|---|---|---|---|
| **Likelihood** | **Major**<br><br>(eg death or disability) | **Serious**<br><br>(eg serious injury or lost time) | **Minor**<br><br>(eg first aid injury) | **Insignificant**<br><br>(eg incident but no injury) |
| **Very likely** (and will almost certainly happen | **Extreme** | **High** | **High** | **Medium** |
| **Likely** (and will probably happen at some time) | **High** | **High** | **Medium** | **Medium** |
| **Unlikely** (but could happen at some time) | **High** | **Medium** | **Medium** | **Low** |
| **Very unlikely** (and might happen only rarely) | **Medium** | **Medium** | **Low** | **Low** |

## Current control measures

The risk analysis process should also include consideration of existing risk control measures and risk control measures that have been used in the past.

They need to be looked at to:

- Determine the cost that attached to them
- Determine their effectiveness
- Identify lessons learned from using them
- Compare them against available options being considered
- Use as the basis for current risk management planning.

## Qualitative and quantitative analysis

When undertaking risk analysis it is important to bear in mind that not all risk can be effectively analysed in a purely statistical way.

Many risk situations need to be described and portrayed in descriptive terms.

There is a common misconception amongst stakeholders that risk analysis must produce some of ‘number’ such as a figure, a percentage or a ratio etc.

In practice, organisational preference may be for the final outcome to be statistical or quantitative but the process must also address factors that cannot be so examined.

Most effective risk analyses are completed using a combination of both qualitative and quantitative analysis.

## Documentation of risk analysis

It is standard procedure to document this stage of the risk management process however this activity tends to receive less attention in smaller establishments.

Documentation should include:

- Tables showing all risks that were identified – referred to as ‘risk analysis forms’
- Copies of documents relating to any existing controls
- Copies of all relevant materials referred to in the decision making process
- Identification of matters discussed
- Rationale for final decisions
- Where votes were taken to finalise decisions, details of names and numbers.

These documents should be filed for use in subsequent risk management activities.

## *Activity 30 – Conduct risk analysis*

For your organisation, identify three risks. Describe the context for risks and then:

- Describe the probability for that risks
- Describe the likelihood for that risks
- Determine the risk level for each risk using a risk assessment matrix.

## Acceptable risk

In terms of risk management, an acceptable risk is any risk which an organisation has determined to have the least potential for harm.

This highlights that in many risk-related decisions there is a need to balance the implicit level of risk against the cost involved in managing it or the benefit to be gained from not addressing it.

Risks may be acceptable because:

- The risk level is so low that it does not warrant spending time and money to treat it
- The risk is low and the benefits outweigh the cost of treating it
- The opportunities presented are much greater than the threat.

It is essential that you understand that taking 'acceptable risk' is fundamentally different to adopting an 'it will be alright' attitude and not doing any risk analysis at all.

Taking 'acceptable risk' means you have actually looked at and determined 'consequence' and likelihood', and have actually considered the resulting level of risk and still decided that there is no need for risk management activity in relation to that risk.

It underscores the legitimacy of 'doing nothing' in relation to an identified risk but only when it is appropriate and a conscious decision to do so.

Seeing all risk as 'acceptable risk' is not a legitimate, effective or recommended risk management strategy.

By definition, any risk that is not acceptable is unacceptable and needs to be treated.

## *Activity 31 – Identify acceptable risks*

For your organisation, identify three risks that you consider to be acceptable risks. Provide reasoning for your decision.

| ACCEPTABLE RISK | REASONING |
|---|---|
| | |
| | |
| | |

## Risk management options

When risks have been analysed it is to be expected that there will risks deemed as unacceptable.

There are a number of management options that may be considered when deciding which risk treatments to apply to unacceptable risks.

The decision about which option to apply to unacceptable risk must be determined on an individual basis.

There is no single, generally applicable, effective option to use across all identified unacceptable risks.

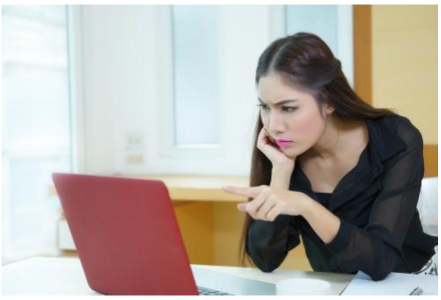
Moreover, given the dynamic nature of the business environment and the individual business context, what applied last time will not necessarily apply this time.

Basic risk treatment approaches include:

**Risk avoidance**

This can include eliminating the risk altogether. It may be referred to as 'risk elimination'.

For example, a venue may elect to consciously remove withdraw from advertising a particular destination if it believes that no other suitable and effective alternative exists that can reduce the risk level to an acceptable level.



Choosing 'risk avoidance' can be a difficult decision to take as it obviously has the potential to impact severely on other aspects of the organisation. It is for this reason that when a risk avoidance option is chosen it must be realised that this decision usually raises other risks.

In other instances, risk avoidance can mean taking a decision not to enter a new field or activity that was previously being considered.

It can also mean conducting the activity that is at the root of the risk in another way that enables the identified risk to be 'worked around' in another way.

**Retaining the risk**

Also known as 'assuming the risk' this involves making a conscious decision to continue with the activity that is at the heart of the risk but to:

- Establish contingency plans to address negative outcomes – which may include Disaster Recovery plans
- Provide funds for covering loss or costs that arise if a negative outcome eventuates.

### Controlling the risk

When a risk is identified there will be certain steps the organisation decides on taking to control that risk.

This involves active measures designed to:

- Reduce the likelihood of the risk occurring
- Reduce the consequences of the risk
- Reduce both the likelihood and the consequences.

Examples may include:

- Including clauses in contracts that penalise contractors for failing to comply
- Ensuring equipment etc is fully operational, serviced and made as safe as possible
- Checking design features of equipment etc is appropriate for the tasks
- Ensuring workplace layout facilitates safe work
- Re-locating the item of equipment to a safer area and/or using structural barriers
- Minimising exposure to risk
- Training staff in its safe use
- Providing safe work practices and procedures.

This option is also known as ‘risk reduction’.

Risk control activities may include:

- Approval hierarchy
- Authorisation hierarchy of documents
- Verification of documents
- Reconciliation of bank books
- Review of operating performance
- Physical safeguard of assets
- Segregation of duties.

### Transferring the risk

This is a common approach in the industry and includes activities such as:

- Arranging and taking out appropriate insurance cover
- Contracting some or all of the activity to another organisation or person – such as security which is a common industry example of this option.

This option is also known as ‘risk sharing’.

### Deferring the risk

In some cases the organisation mat elect to defer taking the risk to a later date.

This may be the situation where they feel the legislation will change at a future date to be more advantageous, where technology is expected to improve to allow greater control or to allow the business to build up sufficient funds to cover a loss event.

## Risk management considerations

When identifying the risk management options to be used, it is important that:

- The chosen option does effectively address identified need
- They are cost-effective
- They are acceptable to stakeholders
- They align with organisational goals, values etc
- They reflect the public image the organisation wants.


## *Activity 32 – Manage risks*

Using two of the risks that were identified Activity 30; discuss the options available for treating each of the risks.

- What is the name of the risk?
- What is the likelihood of the risk?
- What is the consequence of the risk?
- Is it an acceptable / non acceptable risk?
- What risk management option should be used?
- What factors should be considered?
- Are there viable options or is there really only one responsible way of dealing with that risk?
- What is involved in implementing the selected risk management option?
- What does it impact on?
- Who has to be involved?
- What flow-on ramifications might there be?

**RISK 1:** ______________________________________________

| RISK CONSIDERATION | ANSWER |
|---|---|
| What is the name of the risk? | |
| What is the likelihood of the risk? | |
| What is the consequence of the risk? | |
| Is it an acceptable / non acceptable risk | |
| What risk management option should be used? | |
| What factors should be considered? | |
| Are there viable options or is there really only one responsible way of dealing with that risk? | |
| What is involved in implementing the selected risk management option? | |
| What does it impact on? | |
| Who has to be involved? | |
| What flow-on ramifications might there be? | |

**RISK 2:** ______________________________________________

| RISK CONSIDERATION | ANSWER |
|---|---|
| What is the name of the risk? | |
| What is the likelihood of the risk? | |
| What is the consequence of the risk? | |
| Is it an acceptable / non acceptable risk | |
| What risk management option should be used? | |
| What factors should be considered? | |
| Are there viable options or is there really only one responsible way of dealing with that risk? | |
| What is involved in implementing the selected risk management option? | |
| What does it impact on? | |
| Who has to be involved? | |
| What flow-on ramifications might there be? | |

# 5.4 Develop written operational risk management policy

## Introduction

Once all the risks identification and analysis procedures have been completed, it is now time to prepare risk management plans to detail how risks will be managed in a workplace.

Before the plans themselves are prepared, it is important to establish policies that will be the foundation for risk management plans.


In essence, policies are rules or guidelines in which to base risk management plan inclusions and procedures around.

This section will focus on the identification of policies whilst the next section will focus on the development and inclusion of the risk management plans themselves.

## Types of risk management policies

It is vital that the policies relate to the specific needs of the workplace.

The types of policies will differ between organisations, however commonly will detail:

- Reasons for the enterprise wanting or needing to manage operational risk
- Objectives of the operational risk management strategies
- Statements regarding the limits of operational risk the enterprise will allow or engage in
- Minimal topics to address including but not limited to:
  - Reporting personal sickness
  - Recording and investigating safety incidents/accidents including 'near misses'
  - Operating workplace equipment
  - Handling chemicals or hazardous materials including their storage and de-canting for use
  - Manual handling including safe lifting and moving objects safely
  - Using personal protective equipment and clothing
  - Communicating potential safety hazards to guests and co-workers
  - Risk management (risk identification, risk analysis and risk control)


- The ways in which the enterprise will manage operational risk
- Allocation of responsibilities for operational risk management
- Identification of reviews of existing operational risk management strategies
- Statement by management committing the enterprise to managing operational risk.

## Policies for the construction of risk management plans

Besides setting policies for what is to be included in risk management plans, it is also important to establish policies relating to the construction of the plans themselves.

Policies involved in preparing the risk management plans themselves include:

- Ensuring the policies and procedures reflect the identified requirements of the business. There must be alignment between the policies and procedures and the objectives the organisation seeks to achieve
- All aspects of identified requirements must be addressed
- Ensuring the policies and procedures are written in clear and unambiguous language
- Ensuring compliance with all legislated requirements. Policies and procedures must demonstrate the intention of the business to discharge all the legal obligations imposed on it. Indeed some businesses prepare policies and procedures that demonstrate the business goes further than what the minimum compliance requirements are
- Seeking relevant input from reliable and authoritative sources – such as government authorities and their extensive range of online material, industry bodies, suppliers and manufacturers
- Ensuring currency of information which is relied on and incorporated into the policies and procedures
- Canvassing existing samples of policies and procedures which have been obtained as part of the overall research process – to see what they have included, to obtain ideas for inclusion, to identify writing styles and ideas for formats

- Ensuring the documents reflect the service standards the business wants to provide to its customers.

### *Activity 33 – Identify risk management policies*

For your travel and tourism organisation, identify three policies you would establish to guide the development of risk management plans.

# 5.5 Develop written operational risk management plans

## Introduction

A risk management plan is the logical culmination of all risk management planning activities.

This section identifies the components of an effective risk management plan and discusses its dissemination throughout the organisation.

## Elements of the risk management plan

There are a variety of formats for risk management plans but the contents of those plans should remain constant.

Where developing a risk management plan for an existing business it is best to follow the established format to assist stakeholders with reviewing, reading and implementing it.

Anyone with experience developing plans for the operation of the business should have no difficulty preparing a risk management plan once the foregoing research, analysis, assessment has been done.

The creation of the risk management plan itself is, relatively speaking, a simple and straight-forward task.

An effective risk management plan may include:

- Sources of risks and risk events
- Analysis of risks – detailing the agreed likelihoods, consequences and risk levels
- Prioritised list of unacceptable risks – identifying those that need to be addressed first, second, third. For example, ‘immediately’, ‘within 30 days’ or ‘within 60 days’
- Statement and description of the operational risks to be managed
- Preventative action to be taken to reduce the chance of an operational risk becoming a reality

- Steps to eliminate unacceptable operational risks, including priorities for doing so
- Details regarding the application of identified risk control measures to operational risks that cannot be eliminated
- Treatment options selected – aligning specific treatment for each identified risk
- Descriptions of action to be taken in the event of an operational risk becoming a reality, including specific actions by nominated persons, sequencing of actions and identification of resources to assist in risk abatement or treatment
- Persons responsible for implementing the identified treatment options
- Resources required (human, financial, physical and time) – some plans will use ‘resources allocated’ heading

- Performance measures – these are the Key Performance Indicators (KPIs) to track implementation of the plan or KPIs to be used when it comes time to evaluate the effectiveness of the plan
- Timeframe for implementation – of each separate treatment
- Timetable for review of the plan – acknowledging the dynamic environment in which the plan is expected to operate
- Reporting requirements – regarding implementation of the treatments identified in the plan as well as interim reports regarding the effectiveness of those treatments

- All organisational policies and procedures - on assessing risks and implementing the identified treatments or processes
- Proof of insurance from suppliers – such as:
  - Copies of policies – detailing coverage, terms and conditions, exclusions. dates, times of cover and amount covered
  - Receipts for payment of premium for individual policies
  - Legally binding statements from suppliers affirming they have insured nominated aspects of goods, services, equipment etc they provide to you
- Emergency procedures for the business – such as:
  - Emergency Management Plans for the business
  - Relevant policies and procedures
  - Chain-of-command to communicate incidents.

## *Activity 34 – Research risk management plans*

You are required to conduct internet research and collect one version of a risk management templates or plans.

## *Activity 35 – Prepare risk management plan*

For your travel and tourism organisation, you are to prepare a summarised version of a risk management plan you would introduce. You may use and amend the version you have collected in Activity 34.

## Implement risk management plan

Once the risk management plan has been developed it must be implemented.

This section discusses the need for training and resource provision, and discusses the need to communicate the plan to others.

**Implementation requirements**

To ensure staff are properly trained in relation to risk control and procedures you should implement a programme combining the following three elements:

- Information provision
- Resource provision
- Practical components.

**Information provision**

You will need to:

- Provide information in a variety of formats – such as:
  - Written – manuals, handouts, brochures, posters, checklists, SWPs and SOPs
  - Verbal – explanations, instruction and advice
  - Electronic – using DVDs/videos, and loading risk control information onto venue intranet

- Provide information in all languages necessary to accommodate the staff in the workplace
- Provide information in a variety of contexts – such as:
  - In staff meetings and staff briefings
  - As part of your standard Induction and Orientation for new staff
  - Through formal on-the-job training – provided to staff as appropriate to their role and the work they perform
  - Via external training providers.

Examples of 'information' you may provide includes:

- Workplace posters – to remind and advise of workplace risks and issues, how to report incidents, how to make a claim for compensation if injured
- MSDS for chemicals
- Workplace safety checklists
- Staff handbook – with a 'Risk management' section as well as sample documents staff are required or encouraged to complete


- Copies of JSAs undertaken in the workplace
- Workplace safety and health reports
- Copies of approved SOPs to ensure safe working practice
- Handouts – prepared by you or the business on various risk situations

- Brochures and materials from Ministry of Manpower or suppliers who provide materials to the organisation
- Copies of policies prepared by the business applicable to safety and risk-related issues
- Staff newsletters – featuring a 'Workplace risk management' section
- Memoranda and emails – advising staff of relevant up-dates, initiatives, safety and risk related research findings
- Guest speakers – from Head Office, MOM, SCDF.

**Resource provision**

Resources are required to facilitate implementation of required action.

Management may provide these as a matter of course or you may be required to identify what is needed, arrange for their provision and supervise their introduction for use in the workplace.

Resources which may need to be used include:

- Money – there is always a need for funds to allow purchase of safety equipment and materials, or purchase of items to address risk
- Time – there will nearly always be a need for staff to be allocated time for:
  - Risk-related training
  - Attendance at nominated meetings
  - Participation in scheduled activities
  - Involvement in relevant workplace committees
- Documentation – there will be a series of forms and specialised documents (such as templates for procedures, plans, policies and reports) required to underpin and record:
  - Staff training
  - Risk identification activities
  - Risk analysis and evaluation
  - Reporting and notification procedures

- Training courses – which may be:
  - Conducted internally
  - Provided by a training organisation
  - Offered by authorities
  - Specific to identified need – such as First Aid courses, Risk Identification course, Risk
  - Management courses and top-up or refresher courses as required

- Physical resources – these include:
  - Plant, equipment, machinery and utensils to enable a safe and risk-free work
  - Systems and technology – to support work or monitor workplace safety and risk
  - Safety equipment – required as part of risk control and to optimise safety
- Workplace infrastructure – such as:
  - Encouraging and facilitating establishment of a formal workplace 'safety and health' and 'risk management' structures – with committees, workplace representatives and inclusion and allocation of responsibilities into job positions
  - Providing meeting places, materials and office equipment to support the workplace structures
  - Development of workplace risk and safety teams
  - Creation of a workplace culture which values safety and risk management.

**Practical components**

By its nature risk management activities are essentially practical.

As such they demand your training include practical elements so staff can implement the theory they have been provided with.

Practical elements may include:

- Demonstrations of practice – showing staff:
  - How to use equipment
  - How to apply required procedures
- Opportunities for staff to practice – also known as 'drill'
  - Role plays
  - Exercises
  - Fire drills
  - Evacuation drills
- Testing of competencies – such as:
  - Applying first aid
  - Using fire suppression equipment
- Enabling certification and licensing of staff as required by authorities.

# 5.6 Develop written operational contingency plans

## Introduction

Contingency plans need to be prepared for all situations where risk assessment procedures indicate a need to do so.

This section defines contingency plans and identifies circumstances and situations for which they may need to be prepared.

## Introduction to contingency plans

Contingency plans are plans developed to address foreseeable but unplanned problems in given areas of the operation.

They are your 'Plan B'.

They detail what action needs to be taken when the situation described as the topic of the plan arises.

Part of standard risk management protocols is to develop a suite of contingency plans.

Not all identified risks will necessitate the development of a contingency plan. The nature of the identified risk and the associated Consequences and Likelihood will be the prime determinants of whether or not these plans need to be prepared.

Consequences relate directly to the potential for 'the event' to impact on the operation of the business and the viability of products and services it provides to its customers.

A contingency is a set of circumstances which the organisation has identified as being something which could probably happen to impact its business but are unlikely to happen.

The 'set of circumstances' can be big or small. It is the impact or consequences which flow which should determine whether or not a contingency plan should be developed.

## Importance of planning for unforeseen events

Reasons to plan for unforeseen events include:

- To provide direction for employees and the business in the event of negative situations
- To mitigate negative outcomes when unforeseen circumstances materialise
- To allow the business to continue, resume or recover normal business when impacted by negative events
- Because things do not always go as planned – this is simply a fact of business life
- To address 'due diligence' requirements
- To protect the ongoing viability of the business
- To optimise business performance
- To provide you with a sense of security 'all bases' are covered.

## Contingency plans for 'positive' and 'negative' situations

Contingency plans can be developed to address 'problem situations' and while this is the most common focus for contingency plans (see below), it is important to appreciate they can also be prepared to address 'opportunities' too.

**Positive situations**

Opportunities are positive situations becoming available for the business or department to capitalise on.

For example your venue may develop a contingency plan to address a situation where a major competitor closes down – identifying the actions you should take to benefit in the most positive manner from this eventuality.

**Negative situations**

Negative situations are defined by the venue but are generally of a severe or catastrophic nature.

They are situations which have the capacity to significantly impact the operation of the business.

Some people argue all risk management plans can be seen as 'contingency plans'.

## Common contingencies to be addressed

Contingency plans are commonly prepared for circumstances where:

- Faults and malfunctions occur with significant organisational equipment and systems such as:
  - Reservation/bookings systems
  - Communications systems
  - Security systems
  - Stock control systems
  - HVAC systems
  - Primary plant and equipment
  - Primary office equipment critical to processing transactions and customers

- Adverse weather conditions – which are climatic conditions which have the capacity to:
  - Negatively impact bookings or patronage and sales
  - Reduce the enjoyment of customers
  - Present a risk to the business or to customers
- Changes to bookings – addressing issues such as:
  - Cancellations
  - Applications for refunds
  - Deferrals
  - Alterations – to dates, numbers, requirements
  - Deposits required

- Labour disputes – which can involve:
  - Disputes with individual staff at the venue
  - Industry-wide disputes
  - Union action
  - Negotiations or problems associated with Award, conditions and work contracts
  - Roles and responsibilities
  - Workplace safety
  - Training and supervision of staff
- Funding shortfalls – relating to:
  - Anticipated or projected contributions from joint venture partners and external funding authorities
  - Reduced levels of 'actual' revenue or profit against budgeted projections
  - Cash flow implications and general business viability
  - Required ROI
- Data loss – loss of information such as reservations, CRM databases etc
- Loss of a major client
- Power failure
- Loss or absence of key staff
- Death of customer.

## Contents of a contingency plan

The generic contents of a contingency plan are identified below and indicate the aspects of these plans you must address as part of the development process.

**Title of the plan**

The title of the contingency plan must be such it readily identifies the set of circumstances to which the plan applies.

Where organisations use contingency plans it is likely there will be a suite of them so it is important to be able to distinguish one from another.

All these plans should be the subject of regular review so you need to ensure you have the most current version as they alter to reflect various workplace changes.

**Actions to take**

All contingency plans will have a specified list of actions which need to be taken and a priority order for them to be taken in.

These maybe referred to as ‘contingency actions’.

Remember in a contingency situation it is not enough for personnel to simply do what is listed in the plan. They also have to do it in the sequence listed to achieve optimum results.

In relation to ‘actions to take’ you need to:

- Details of the actions the enterprise will take when an operational risk has become a reality and loss or damage has occurred, including identification of necessary scopes of authorities, changes to standard operating procedures, limitations on actions and contact with outside agencies including the media
- Describe the triggers for action
- Processes to retrieve the situation and re-establish normal operating conditions
- Provide specifics – there is a need to detail what has to be done
- Nominate and properly describe items, materials, equipment etc to be used
- Allocate numbers to action – to assist with identification of actions and sequencing
- Do the most important thing first
- Where the contingency involves a threat to people or property, the safety of people must always take priority over the safety and security of assets
- Consider indicating contingency actions which are specifically prohibited
- Specific actions to retain customers and market share
- Specific actions to maintain industry confidence, stakeholders and customers of the enterprise
- Damage limitation and damage control protocols.

**Conditions and circumstances for action**

This is a statement in the plan providing details of the ‘trigger’ for implementing the plan.

It is the basis which must be used for determining implementation of the plan.

While the venue does not want to wait ‘too long’ before actioning the relevant contingency plan it also does not want to implement it too soon or when it is not necessary or appropriate to do so, because implementing contingency plans can:

- Cost money
- Disrupt normal operations
- Cause alarm to customers.

**Responsibilities for actions**

The contingency plan will usually allocate responsibility for action. This means a person’s name or a job position will be named to undertake nominated tasks under the plan.

This allocation of responsibilities is done to:

- Share the workload
- Ensure important tasks are completed in a timely manner
- Make sure all required activities are undertaken
- Give roles and responsibilities to those best suited to deal with them
- Allocate responsibilities to nominated roles or positions
- Develop an ‘integrated whole’ in terms of overall operation of the plan.

**Timelines**

These are timeframes for completion of identified tasks.

There is always an urgency associated with implementation of contingency plans and the timelines help to provide a context in this regard.

They provide:

- Time-related targets to aim for
- The basis for evaluating progress of the plan
- A framework for taking additional action to bring the plan back on track.

**Resources**

This section of the plan will identify:

- Physical resources to be used to achieve the requirements of the plan
- Information available to support action and decision making
- Limits which apply to the use and expenditure of resources.

**Parameters**

There will nearly always be a part of the plan addressing the parameters within which the plan can operate.

This may refer to:

- Maximum times the contingency plan can be allowed to operate before the situation is reviewed and a decision made about:
    - Continuing implementation of the contingency plan as it exists
    - Adjusting the contingency plan in some aspect and continuing with it
    - Reverting to standard procedures
- Limits of authority – as they apply to individuals when the contingency plan is triggered. Standard protocols are for nominated persons to have expanded scopes of authority under contingency plans
- Restrictions on action which can be taken. In the same way some employees will be given extra responsibility under a contingency plan, some plans will remove some discretion and powers from certain staff in order to concentrate authority within a revised chain of command
- Limits on spending – given implementation of most contingency plans involves expense of some kind it makes sense for the planning stage to impose limits on what can be spent and where and how funds can be spent.

**Intended results**

Contingency plans usually include a description of the expected outcome implementation of the plan seeks to achieve.

This is important as it:

- Helps provide a focus for your action
- Gives a context to the plan
- Helps identify when contingency action can stop – because the stated objectives have been reached.

## *Activity 36 - Prepare a Contingency Plan*

Prepare a Contingency Plan based around three 'what if's that may occur in your travel or tourism organisation.

# 5.7 Communicate risk management strategies to stakeholders

## Introduction

Once the plan has been approved, all those impacted by or with responsibilities under the plan need to have the plan communicated to them.

While the risk management plan may give an indication of who these people are it is usual for additional people to have been allocated responsibilities under the plan so the risk management plan itself should be the source document for distribution purposes.

Once the plan has been physically distributed the plan itself must be the topic of a meeting to explain it to those with responsibilities.

## Benefits of communicating risk management strategies

This meeting:

- Allows rationale for the plan to be explained
- Enables restrictions etc in decision making to be communicated
- Permits individual roles and responsibilities to be more fully explained
- Enables clarification of points
- Handles last minute issues
- Sets out the access protocols to nominated resources to enable implementation.

## Communicating risk management strategies to staff

The same strategies for communicating safety and health policies and procedures can be used for communicating safety and health guidelines to staff.

This communication can be achieved by:

- Conducting a series of staff meetings – ensuring all staff are covered. A register should be set up to identify all staff that have been schooled in the new or revised guidelines
- Explaining the guidelines at staff briefing sessions

- Distributing hard copies of the guidelines
- Posting copies on the staff notice board
- Including copies with staff pay advice
- Loading information on the workplace intranet
- Using the RM Team structure as the basis for internal communication
- Integrating the new guidelines into standard enterprise induction and orientation sessions
- Holding practical demonstrations showing implementation of the guidelines

- Conducting informal testing of staff
- Including new or revised guidelines into on-the-job staff training provision
- Providing information about handling of hazardous materials – information must be prepared in languages relevant to the staff who use them.
- Encourage staff to ask questions about any aspects about which they are unclear
- Having regular consultation and discussion with employees during the course of each business day – as a standard part of workplace practice
- Providing a diary, whiteboard or suggestion box available for staff to use to report an issue of concern – so there is always a vehicle, other than making a verbal report, to enable concern to be communicated
- Holding regular staff meetings including WSH discussions
- Special staff meetings or workshops to specifically address WSH issues – known as 'Toolbox' meetings
- Only occupational safety and health issues are discussed at these meetings

- Producing and circulating surveys or questionnaires which solicit staff feedback on WSH issues
- Appointing a staff member as a workplace WSH Representative – and encouraging staff to report concerns to this person
- Producing documentation to support and simplify the communication of WSH concerns
- Distributing of Fact Sheets to fully inform staff about their right and responsibility to communicate WSH concerns to their employer.

## *Activity 37 – Communicate risk management plan*

For your travel and tourism organisation, identify three methods you would use to communicate a risk management plan, detailing who would attend and the points for discussion.

| COMMUNICATION METHOD | PERSONS TO ATTEND | POINTS FOR DISCUSSION |
|---|---|---|
| | | |
| | | |
| | | |

# 5.8 Review and monitor risk management plans and procedures

## Introduction

Evaluation is a key phase in formal risk management. It is as important as the previous phases of risk identification, risk analysis and the development of a risk management plan.

Risk is constant in business but there is a dynamism within that consistency that needs to be monitored and, where necessary, accommodated for risk management to be truly effective for any organisation.

This section focuses on the need to review the performance of the risk management plan and identifies the generic actions that may flow from this monitoring activity.

## Purpose of reviewing risk management plans

Risk management plans must be evaluated to determine their relevance and provide the basis for change that will make those plans more effective.

The keys in evaluating the risk management plan are to:

- Measure actual progress in the workplace against the requirements of the plan – determining to what extent the requirement so if the plan have been implemented
- Determine and quantify the actual occurrences of risk in the workplace – identifying causal factors and consequences, and comparing them to predictions
- Projections and expectations identified in the development of the initial risk level assessment and treatment option for that risk
- Incorporate lessons learned - into the revisions made to the existing risk management plan
- Look to the future.

## Indicators requiring need for review

Most risk management plans will include a formal review date. It is important to always remain alert for signs that things aren't going as intended and there is need for an unscheduled review.

Possible indicators that unscheduled reviews are needed include:

- Obviously changed context for the business – for example, as contained in the SWOT analysis
- Changed strategic directions for the business – often due to new management or a business re-structure or 'rationalisation'
- Instances where those with responsibility are unable to fulfil their allocated duties
- Failure to adhere to plan parameters – such as budget over-runs, failure to meet timelines
- Significant workplace events involving staff or customers
- Emergence of a new risk – or changes to the level of risk.

## Methods to review risk management plans

Reviews need to be evidence-based in the same way that the original risk management processes were so there is a tendency for all evaluation methodologies to include techniques or approaches used in the initial risk management activities.

In addition, a review takes place after something has happened or after a period of time has passed so this means there is more likely to be workplace data relevant to the risk available for consideration.

The risk management plan will have indicated what sort of information needs to be obtained so the review usually has access to quite specific and relevant indicators to assist in the evaluation process.

The evaluation methodologies can therefore include:

- Personal observations – that will be targeted with reference to what have been identified in the risk management plan as the appropriate KPIs
- Physical inspections – looking for evidence that relates to the issues identified as important in the risk management plan. For example, where physical inspection of products is regarded as a risk management tool it is usual for inspection checklists to be developed that serve as a reference source for the review
- Incident reports – these may be related to safety, equipment breakdowns, suspicious persons, illegal activity, failure of a process or procedure to meet quality or other identified standards, levels or indicators. Complaints from customers can be included here
- Results of inspections or audits by external authorities – these are useful in confirming compliance levels and identifying future issues that may require attention or  expense
- Distribution of questionnaires

- Interviews with stakeholders
- Regular reviews of risk treatment procedures – for example, determining whether better insurance cover exists, verifying that current staff training meets compliance or other internal requirements
- Use of external risk management professionals.

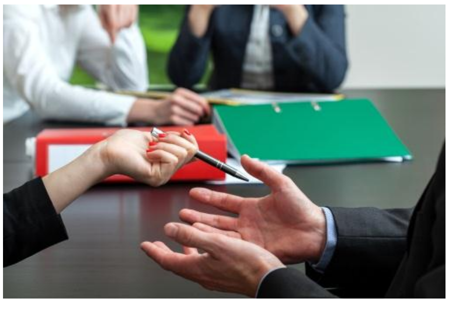
## Action to be taken

The actions to be taken as a result of reviewing performance include:

- Consulting with relevant stakeholders
- Analyse inherent risks
- Identify necessary risk response activities
- Review residual risk levels achievable by response to risk event
- Align residual risk with risk tolerance and risk appetite level
- Review impact of risk response activities on risk likelihood and impact
- Conduct cost-benefit analysis
- Identify events with positive impact or opportunities
- Assess alternative responses to inherent risks and consider additional risks that might result from specific response
- Re-framing 'likelihood' and 'consequence' for each risk being reviewed
- Re-calculating risk levels using the revised likelihoods and consequences
- Taking another look at the options available to address each revised risk level
- Re-writing the risk management plan – including revision of responsibilities, timing, budget etc as appropriate
- Distributing, and communicating the contents of, the revised risk management plan
- Providing resources to enable the revised risk management plan to be achieved
- Re-focussing the management of the revised risk management plan – to reflect revised KPIs of the plan.

## Post risk event reviews

Whilst we have looked at the need to review the risk management plan itself, it is still important to conduct a review after a risk has occurred.



Post-event reviews only occur after a risk has occurred and conducted at the end of a planning period for one or more identified risks.

The aim of holding a post-event review is so that timely lessons can be learned about the way the risk was identified and analysed in the first place, and the effectiveness of the response that the organisation took to it.

As is usual with all reviews there are many questions that should be asked at this type of review:

- How effective was the risk analysed – in terms of cause, probability and consequence?
- How effective were the risk treatments used for that risk? It is a fact of life that many risk treatments can only really be appreciated after they have been put to the test
- Could we have developed additional protocols to further minimise the risk when warning signs emerged?
- Do the previous risk criteria need to change?
- What can be done to prevent a recurrence?
- What extra or subsequent work has to be done in relation to the cause?
- What is the revised risk level now that the event has taken place? Is the risk no longer acceptable?

They are usually confined to:

- Risks that have been identified as having an 'Extreme' or 'High' level of risk
- Risks where it is believed there has been significant change to the previously risk level
- Opportunities that have emerged that it is believed the business is not well placed to exploit.


## *Activity 38 – Risk management review*

For your organisation, discuss what would be involved in conducting a review of the implementation and effectiveness of the established Risk Management Plan?

__________________________________________________________________________

__________________________________________________________________________

__________________________________________________________________________

__________________________________________________________________________

What would you examine to determine progress and effectiveness?

__________________________________________________________________________

__________________________________________________________________________

__________________________________________________________________________

# Work Projects

It is a requirement of this Unit you complete Work Projects as advised by your Trainer. You must submit documentation, suitable evidence or other relevant proof of completion of the project to your Trainer by the agreed date.

5.1 Please complete the following activities relating to this Performance Criteria:

- Activity 27

5.2 Please complete the following activities relating to this Performance Criteria:

- Activities 28,29

5.3 Please complete the following activities relating to this Performance Criteria:

- Activities 30,31,32

5.4 Please complete the following activities relating to this Performance Criteria:

- Activity 33

5.5 Please complete the following activities relating to this Performance Criteria:

- Activities 34,35

5.6 Please complete the following activities relating to this Performance Criteria:

- Activity 36

5.7 Please complete the following activities relating to this Performance Criteria:

- Activity 37

5.8 Please complete the following activities relating to this Performance Criteria:

- Activity 38

# Summary

## Manage risk associated with business strategies

**Identify risks associated with implementation of strategic plans**

- Definition of risk
- Risk management
- Types of risks
- Types of internal risks
- Types of external risks
- Risk management steps

**Access information sources in relation to identified risk**

- Identify stakeholders in risk identification
- Techniques for risk identification

**Assess risk levels**

- Risk analysis activities
- Consequences and Likelihood
- Risk assessment matrix
- Current control measures
- Qualitative and quantitative analysis
- Documentation of risk analysis
- Acceptable risk
- Risk management options
- Risk management considerations

**Develop written operational risk management policy**

- Types of risk management policies
- Policies for the construction of risk management plans

**Develop written operational risk management plans**

- Elements of the risk management plan
- Implement risk management plan

**Develop written operational contingency plans**

- Introduction to contingency plans
- Importance of planning for unforeseen events
- Contingency plans for ‘positive’ and ‘negative’ situations
- Common contingencies to be addressed
- Contents of a contingency plan

**Communicate risk management strategies to stakeholders**

- Benefits of communicating risk management strategies
- Communicating risk management strategies to staff

**Review and monitor risk management plans and procedures**

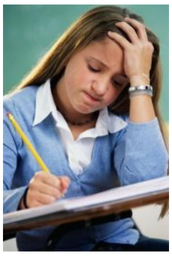
- Purpose of reviewing risk management plans
- Indicators requiring need for review
- Methods to review risk management plans
- Action to be taken
- Post risk event reviews

# Presentation of written work

## 1. Introduction

It is important for students to present carefully prepared written work. Written presentation in industry must be professional in appearance and accurate in content. If students develop good writing skills whilst studying, they are able to easily transfer those skills to the workplace.

## 2. Style



Students should write in a style that is simple and concise. Short sentences and paragraphs are easier to read and understand. It helps to write a plan and at least one draft of the written work so that the final product will be well organised. The points presented will then follow a logical sequence and be relevant. Students should frequently refer to the question asked, to keep 'on track'. Teachers recognise and are critical of work that does not answer the question, or is 'padded' with irrelevant material. In summary, remember to:

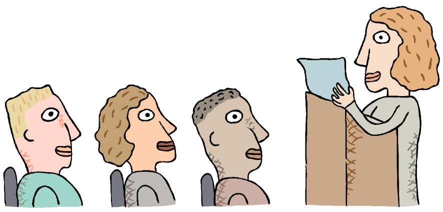
- Plan ahead
- Be clear and concise
- Answer the question
- Proofread the final draft.

## 3. Presenting Written Work

***Types of written work***

Students may be asked to write:

- Short and long reports
- Essays
- Records of interviews
- Questionnaires
- Business letters
- Resumes.



***Format***

All written work should be presented on A4 paper, single-sided with a left-hand margin. If work is word-processed, one-and-a-half or double spacing should be used. Handwritten work must be legible and should also be well spaced to allow for ease of reading. New paragraphs should not be indented but should be separated by a space. Pages must be numbered. If headings are also to be numbered, students should use a logical and sequential system of numbering.

***Cover Sheet***

All written work should be submitted with a cover sheet stapled to the front that contains:

- The student's name and student number
- The name of the class/unit
- The due date of the work
- The title of the work
- The teacher's name
- A signed declaration that the work does not involve plagiarism.

***Keeping a Copy***

Students must keep a copy of the written work in case it is lost. This rarely happens but it can be disastrous if a copy has not been kept.

***Inclusive language***

This means language that includes every section of the population. For instance, if a student were to write 'A nurse is responsible for the patients in her care at all times' it would be implying that all nurses are female and would be excluding male nurses.

Examples of appropriate language are shown on the right:

| | |
|---|---|
| Mankind | *Humankind* |
| Barman/maid | *Bar attendant* |
| Host/hostess | *Host* |
| Waiter/waitress | *Waiter or waiting staff* |

# Recommended reading


Aaker, D.A; 2001 (6th edition); *Developing business strategies*; J. Wiley

Abranhs, Rhonda; 2014 (6th edition); *Successful Business Plan: Secrets & Strategies*; Planning Shop

Bangs, David; 2002 (9th edition); *The Business Planning Guide*; Kaplan Publishing

Blackwell, E; 2011 (5th edition); *How to prepare a business plan*; Kogan Page

Capezio, P; 2010 (1st edition); *Manager's guide to business planning*; McGraw-Hill

Childs, Donna R & Dietrich, Stefan; 2002, *Contingency planning and disaster recovery: a small business guide*; John Wiley

Cortez, Annetta; 2010; *The complete idiot's guide to risk management*; Alpha

Crouhy, Michel & Mark, Robert & Galai, Dan; 2001; Risk *management;* McGraw-Hill

DeThomas, Arthur; 2008 (3rd edition); *Writing a Convincing Business Plan*; Barron's Educational Series

Forsyth, P; 2002 (1st edition); *Business planning*; Capstone

Friend, Graham; 2010 (Kindle 2nd edition); *The Economist Guide to Business Planning*; Economist Books

Friend, G. & Zehle, S; 2009 (2nd edition); Guide to business planning; Bloomberg Press,

Hopkin, Paul; 2012 (2nd edition); *Fundamentals of risk management: understanding evaluating and implementing effective risk management*; Kogan Page

Benigno & Sousa, Emilio; 2010; *Risk management*, Nova Science Publishers

Mathur, S. S. & Kenyon, A; 2008 (1st edition); Creating valuable business strategies; Elsevier/Butterworth- Heinemann

Maynard, Therese H; 2010 (1st edition); *Business Planning*; Aspen Publishers

Overton, R; 2003 (5th edition); *Business planning made simple*; Martin Books

Peterson, Steven; 2010 (3rd edition); *Business Plans Kit for Dummies*; For Dummies

Pinson, Linda; 2007 (7th edition*); Anatomy of a Business Plan*; Out Of Your Mind . . . And into the Mark

Stutely, R; 2012 (3rd edition); *The definitive business plan: the fast-track for intelligent business planning for executives and entrepreneurs*; Financial Times Prentice Hall

Tiffany, Paul & Peterson, Steven; 2004 (2nd edition); *Business Plans for Dummies*; For Dummies

Tokan, Boomy; 2013 (1st edition); *How to Write Your First Business Plan*; CreateSpace Independent Publishing Platform

Williams, R.T; 2013 (Kindle edition); *How to Write a Business Plan - a Complete Outline to Create a Concise and Profitable Business*; Williams, R.T

# Trainee evaluation sheet

## Develop and manage business strategies

The following statements are about the competency you have just completed.

| Please tick the appropriate box | Agree | Don't Know | Do Not Agree | Does Not Apply |
|---|---|---|---|---|
| There was too much in this competency to cover without rushing. | ☐ | ☐ | ☐ | ☐ |
| Most of the competency seemed relevant to me. | ☐ | ☐ | ☐ | ☐ |
| The competency was at the right level for me. | ☐ | ☐ | ☐ | ☐ |
| I got enough help from my trainer. | ☐ | ☐ | ☐ | ☐ |
| The amount of activities was sufficient. | ☐ | ☐ | ☐ | ☐ |
| The competency allowed me to use my own initiative. | ☐ | ☐ | ☐ | ☐ |
| My training was well-organised. | ☐ | ☐ | ☐ | ☐ |
| My trainer had time to answer my questions. | ☐ | ☐ | ☐ | ☐ |
| I understood how I was going to be assessed. | ☐ | ☐ | ☐ | ☐ |
| I was given enough time to practice. | ☐ | ☐ | ☐ | ☐ |
| My trainer feedback was useful. | ☐ | ☐ | ☐ | ☐ |
| Enough equipment was available and it worked well. | ☐ | ☐ | ☐ | ☐ |
| The activities were too hard for me. | ☐ | ☐ | ☐ | ☐ |

The best things about this unit were:

The worst things about this unit were:

The things you should change in this unit are:

# Trainee self-assessment checklist

As an indicator to your Trainer/Assessor of your readiness for assessment in this unit please complete the following and hand to your Trainer/Assessor.

## Develop and manage business strategies

| | | Yes | No* |
|---|---|---|---|
| **Element 1: Identify the internal business environment** | | | |
| 1.1 | Identify and confirm core features of the business | ☐ | ☐ |
| 1.2 | Identify marketing information relevant to the current situation | ☐ | ☐ |
| 1.3 | Review business performance information | ☐ | ☐ |
| 1.4 | Identify capabilities and resources of the business | ☐ | ☐ |
| 1.5 | Identify underperforming products and services | ☐ | ☐ |
| **Element 2: Identify the external business environment** | | | |
| 2.1 | Identify expected market share | ☐ | ☐ |
| 2.2 | Identify external factors impacting on the business | ☐ | ☐ |
| 2.3 | Analyse comparative market information | ☐ | ☐ |
| 2.4 | Analyse industry and customer trends | ☐ | ☐ |
| 2.5 | Analyse the legal and ethical issues in the market place | ☐ | ☐ |
| **Element 3: Define and implement business strategies** | | | |
| 3.1 | Formulate business objectives for individual business units | ☐ | ☐ |
| 3.2 | Review existing business strategies | ☐ | ☐ |
| 3.3 | Develop business strategies relating to established strategic objectives for the organisation | ☐ | ☐ |
| 3.4 | Communicate business strategies to relevant stakeholders | ☐ | ☐ |

| | | Yes | No* |
|---|---|---|---|
| **Element 4: Review the effectiveness of business strategies** | | | |
| 4.1 | Review established strategies | ☐ | ☐ |
| 4.2 | Include multiple perspectives and information sources in determining the effectiveness of strategies | ☐ | ☐ |
| 4.3 | Evaluate the effectiveness of the strategies | ☐ | ☐ |
| 4.4 | Make recommendations for enhancements to strategies and plans | ☐ | ☐ |
| **Element 5: Manage risk associated with business strategies** | | | |
| 5.1 | Identify risks associated with implementation of strategic plans | ☐ | ☐ |
| 5.2 | Access information sources in relation to identified risk | ☐ | ☐ |
| 5.3 | Assess risk levels | ☐ | ☐ |
| 5.4 | Develop written operational risk management policy | ☐ | ☐ |
| 5.5 | Develop written operational risk management plans | ☐ | ☐ |
| 5.6 | Develop written operational contingency plans | ☐ | ☐ |
| 5.7 | Communicate risk management strategies to stakeholders | ☐ | ☐ |
| 5.8 | Review and monitor risk management plans and procedures | ☐ | ☐ |
| 5.9 | Access information sources in relation to identified risk | ☐ | ☐ |

**Statement by Trainee:**

I believe I am ready to be assessed on the following as indicated above:

**Signed:** ______________________________ **Date:** ____________

**Note:**

For all boxes where a **No*** is ticked, please provide details of the extra steps or work you need to do to become ready for assessment.

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